

Global Economic Outlook & Strategy

The Resilient Global Economy—Cascading Supply Shocks



CITI'S TAKE

The interim agreement between the US and Iran has eased some key headwinds restraining the global economy. Even so, it's too soon to say that the challenges are behind us. The durability of the deal remains to be seen, and the conflict has damaged infrastructure across the Middle East. The good news is that the global economy has absorbed a sustained period of oil prices above \$100/barrel, and we judge that global growth is tracking at 2½%, down from 2.9% prior to the conflict. Meanwhile a new risk to the global economy may be emerging. NOAA ascribes a greater than 95% probability to an El Niño event lasting through March 2027, with a 63% chance it reaches very strong or super status by year-end. Historical episodes of this severity have generated substantial and long-lasting economic costs, primarily through disrupting agricultural output, energy generation, supply chain logistics, and reducing labor productivity.

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Next Issue: 23 July

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The Resilient Global Economy— Cascading Supply Shocks

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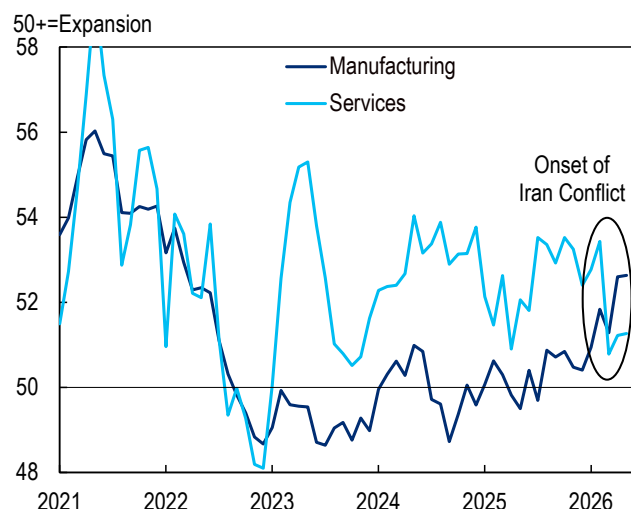
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The global economy has remained resilient despite numerous headwinds.

Whether measured by PMIs (Figure 1), the performance of equities or surprise indices, global activity metrics have remained broadly consistent with moderate growth not too far below trend. This is despite the propagation of cyclical negative supply shocks from various conflicts, protectionist trade policies and broader structural factors such as ageing populations and low productivity growth. Some of the resilience reflects stronger AI spending, support from fiscal policy and slightly accommodative monetary policy settings. However, a net-balance of the number of central banks Citi covers are starting to normalise monetary policy (Figure 2), while increased scrutiny over rising levels of public debt suggests fiscal policy cannot indefinitely support global growth to the same degree.

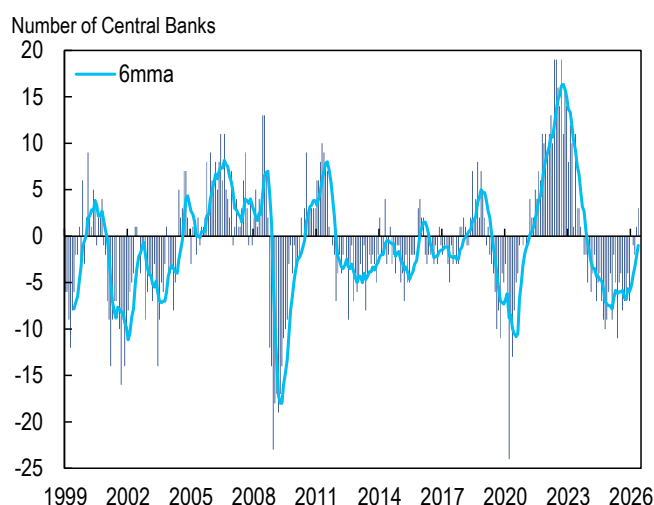
Figure 1. Global PMIs



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Source: Citi Research, S&P Global, Haver Analytics

Figure 2. Global Central Bank Rate Cycle (Net)*



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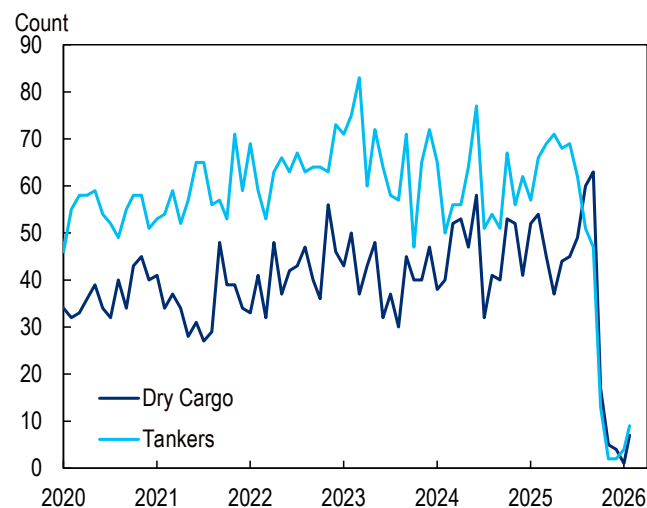
*Net number of hikes or cuts across 27 central banks.

Source: Citi Research, Bloomberg

The most recent supply-side shock is (hopefully) ending. The performance of risk assets and energy markets in recent days portends a turning point in the Middle East conflict. The confidence of markets was validated with the Presidents of the United States and Iran signing a memorandum of understanding (MoU) aimed at ending the conflict. This document now provides 60 days to find solutions for the issues that have undermined stability in the region. These issues include a number of nuclear, financial and trade sanctions and regional security arrangements. History suggests these issues will not be solved quickly, but with both sides at least at the negotiating table, the health of the global economy no longer appears to be hostage to the price and availability of liquid fuels.

The Strait of Hormuz should re-open... Negotiations between previously warring parties will hopefully lead to sustained higher Strait of Hormuz (SoH) vessel flows after four months of substantially reduced crossing (Figure 3). Even if the recent agreement proves durable and the Strait remains open, we see Brent oil prices averaging roughly \$75/barrel in the second half of the year. This is \$15/barrel higher than we anticipated before the conflict, reflecting damages to production, pipeline, and refining capacity, as well as increased demand for oil to restock inventories. On the other hand, the MOU allows Iran to significantly increase its oil exports, which could be an important source of additional oil supply.

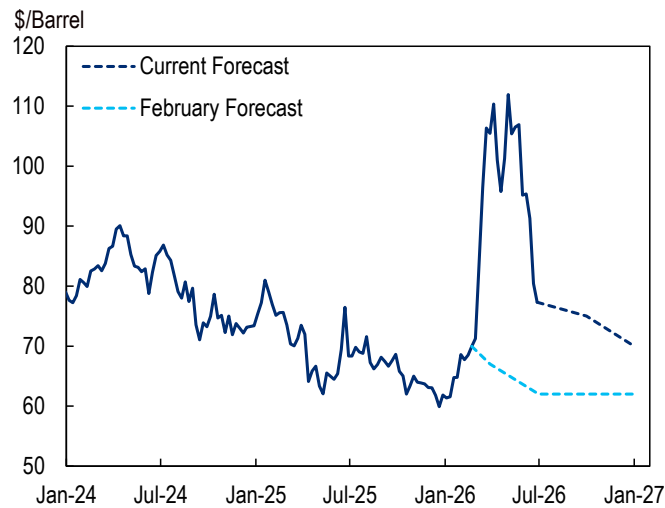
Figure 3. Strait of Hormuz Large Vessel Crossings Per Day



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Source: Citi Research, Bloomberg

Figure 4. Brent Oil Price: February vs. Current Forecast (Citi)



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Source: Citi Research, Bloomberg

...but this may take some time. A political agreement to reopen the SoH (Figure 5) is not the same thing as restoring confidence that vessels can safely navigate it. First, mines that have been laid will need to be disarmed and removed. Minesweeping and independent verification of safe water could take months not weeks. Second, ship captains, vessel owners and insurers are likely to want to know details of how sea traffic will operate including designated shipping lanes, control systems and who will manage shipping traffic including what role the US Navy and Iran will have in vessel management. Third, insurance premiums remain high and some voyages may not be commercially feasible until insurance costs decline. Fourth, Iran expects to charge some form of transit or administration fees for vessel crossings after the 60-day MoU period. The compatibility of doing so with international law and sanction compliance needs to be agreed between all parties. Fifthly, roughly 500 commercial vessels occupy the Strait. This will need to be cleared before incoming sea traffic can return to normal. Nevertheless, these issues are solvable, meaning tanker and other sea traffic movement through the SoH will eventually return to normal. Symbolic examples of reopening such as news of an LNG tanker and a few very large crude carriers successfully transiting the Strait are, at the very least, an encouraging sign.

Figure 5. Summary of MoU arrangements for the SoH

Feature	Description
Initial Arrangement	60-day period; Iran to make "best efforts" for safe, toll-free passage of commercial vessels.
Toll-Free Traffic	Passage is free of charge for an initial 60-day period.
Reopening Timeline	Immediate traffic; military obstacles and de-mining operations fully cleared within 30 days.
Future Management	Iran to hold dialogue with Oman and other regional Gulf states for long-term administration in line with international law.
Conflicting Views	U.S. & Regional Partners: Seek permanently free navigation. Iran: Expects transit fee/service charge after 60-day period.

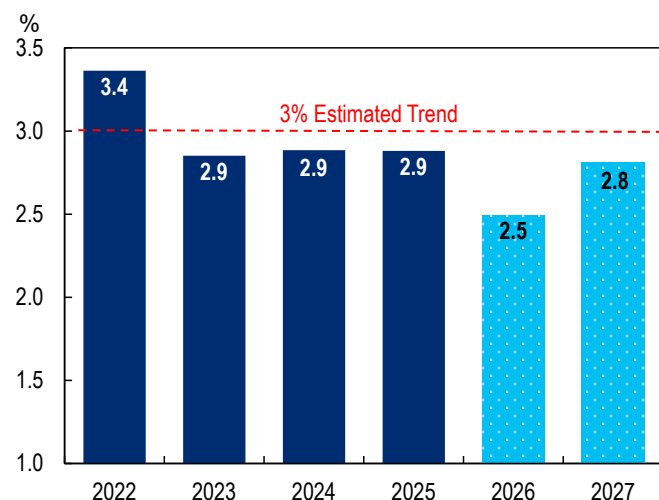
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Source: Citi Research

Implications for Macroeconomic Projections

The US-Iran interim agreement has eased key headwinds for the global economy, with Brent oil prices declining towards \$75/barrel. That said, the jury is still out on whether this resolution proves lasting, with thorny issues remaining — particularly regarding Iran's nuclear program and Strait toll rights. The good news is that the resilience of recent years appears to be prevailing yet again. The global economy has absorbed a sustained period of oil prices above \$100/barrel, and we judge that global growth is tracking at 2½%, down from 2.9% prior to the conflict (Figure 6).

Figure 6. Global Real GDP Growth (Annual Average)*

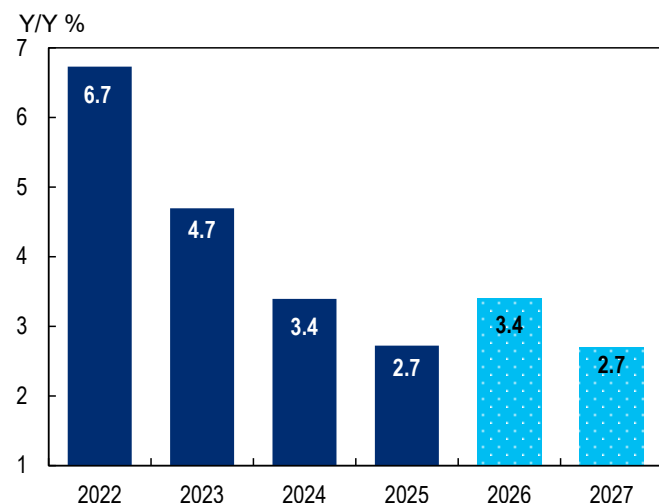


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*Dotted bars indicate Citi forecasts.

Source: Citi Research

Figure 8. Global Headline Inflation (Annual Average)*

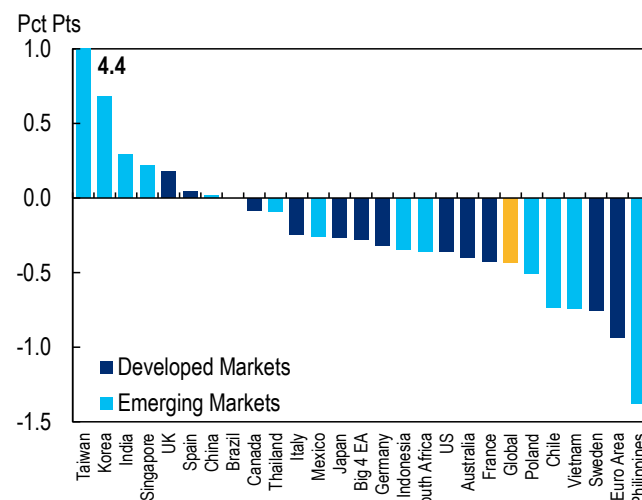


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*Dotted bars indicate Citi forecasts.

Source: Citi Research

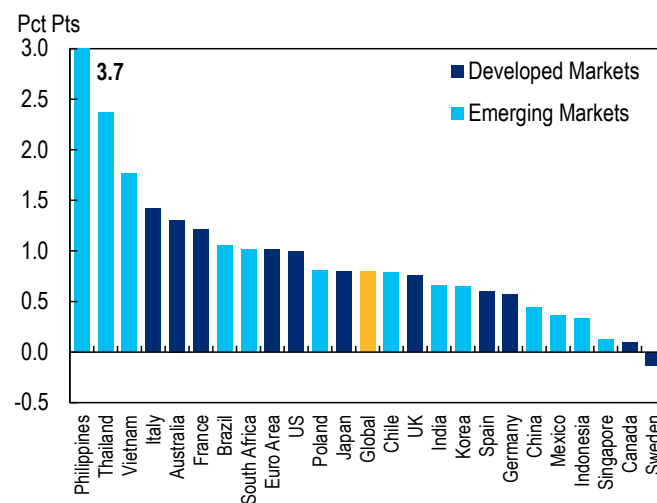
Figure 7. 2026 Growth Forecasts: Delta Since Feb (Citi)



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Source: Citi Research

Figure 9. 2026 Headline Inflation Forecast Revisions (Citi)*



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*Change from February forecasts; US forecast is for PCE.

Source: Citi Research

The impact on growth has shown differing severity across economies (Figure 7). Several highly exposed oil importers—including the Philippines, Vietnam, and Sweden—have seen the largest markdowns since the conflict erupted, tipping the scales at $\frac{3}{4}$ ppt or greater. We have marked down euro area growth somewhat further, as US tariffs continue to exert downward pressure on growth. Cumulatively, growth in the euro area has been revised down by 1 ppt since February to 0.3%, but a large share of the markdown reflects volatility in Irish trade data. In contrast, the Big Four euro area economies have fared a notch better, with a downward revision of $\frac{1}{4}$ ppt since February.

Our forecast also highlights that the AI revolution has provided an important source of support for the global economy. This has been seen in buoyant AI-related investment in the United States. During the first quarter, it surged to well over \$400 billion (annual rate), from just \$300 billion last year. Surging AI demand has provided a boost to other countries as well, with a number of Asian economies—including Korea, Taiwan, and Singapore—registering upward revisions to their growth forecasts on the back of soaring tech exports.

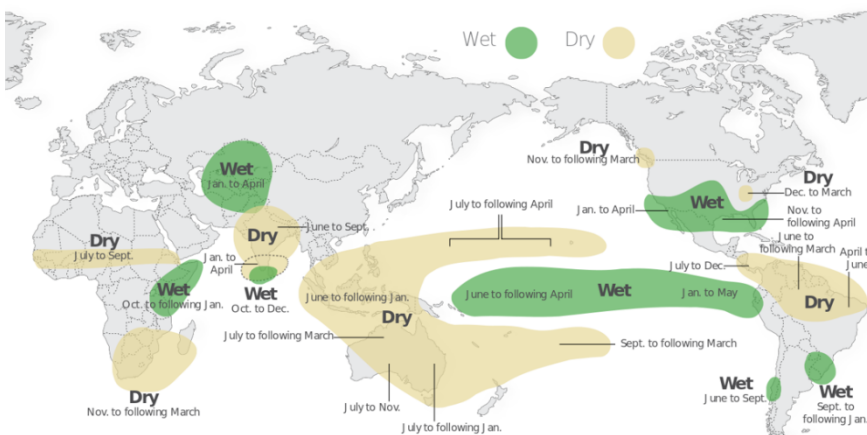
Global headline inflation is tracking at 3.4% this year, slightly lower than last month as oil prices have eased (Figure 8), but still up almost a full percentage point since the conflict erupted. That said, we expect the pass-through of elevated oil prices to unwind and headline inflation to fall back to 2.7% next year.

At the country level, the mark-ups in our inflation forecasts have been significant and broad-based (Figure 9). The largest mark-ups have been among Asian economies—including the Philippines, Thailand, and Vietnam—which have all been revised up by $1\frac{1}{2}$ ppt or more. A few European countries, mainly Italy and France, have also seen meaningful mark-ups. Notably, our projections for the US and the euro area are both up 1 ppt from February.

El Niño: Hello to a Weather-Induced Supply Shock

While one supply shock is abating, another one may be around the corner. The Pacific Ocean's El Niño Southern Oscillation (ENSO) is a large driver of climate variability. Consisting of three phases; neutral, La Niña (cooler temperatures) and El Niño (warmer temperatures), the El Niño phase occurs every three to five years and lasts for roughly one year in duration. This weather system tends to develop in Q2, strengthen in Q3 with the full impact occurring in Q4 and subsequent Q1 of the following year. Monitoring of ENSO occurs via the sea surface temperature (SST) in the tropical Pacific Ocean. This can be done via comparing temperature differences against a baseline period (traditional method) or by comparing temperature differences against an average for the broader tropical region (relative index method). The latter method makes it clearer when Pacific Ocean temperature differences are a sign of ENSO activity, rather than part of the long-term warming trend. A strong El Niño can vary temperature and rainfall over the US, Mexico, South America, Australia, Oceania, India and Sri Lanka, South East Asia, southern and equatorial Africa (Figure 10).

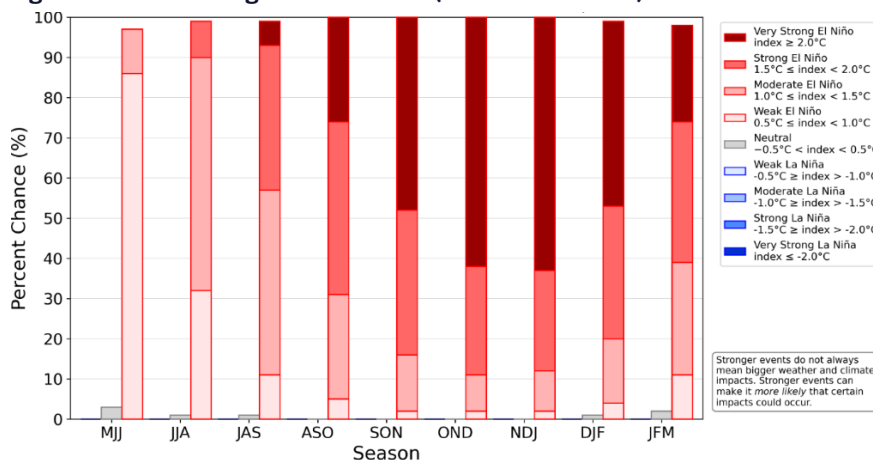
Figure 10. El Niño and Precipitation



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Source: Citi Research, noaa.gov

A super El Niño event is now expected. The US National Oceanic and Atmospheric Administration (NOAA) threshold for an El Niño event is when tropical Pacific Ocean SST anomalies are above +0.5 degrees Celsius for five consecutive overlapping three-month periods. Secondary evidence for El Niño comes from wind pressure patterns as measured by the Southern Oscillation Index (SOI). SST anomalies meant the probability of an El Niño event increased from 20% across April, May and June to 61% in May, June and July. This assessment was issued by NOAA in April this year. Since then, the probability of an El Niño starting in Q2 and lasting until March 2027 has increased above 95% (Figure 11). Furthermore, NOAA estimates that the strength of the El Niño will increase to a very strong or super El Niño (> +2 degrees Celsius). By the end of the year, NOAA ascribes a 63% probability to this occurring. Further support for a 2026 super El Niño comes from the fact that the rate of warming this year is already the fastest since 1943. The Australian Bureau of Meteorology's seasonal model is forecasting a record peak warming greater than 3 degrees Celsius, above the previous post-1900 record of 2.65 degrees Celsius recorded in 1902.

Figure 11. ENSO Strength Probabilities (issued June 2026)



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Source: Citi Research, NOAA

Potential economic impacts of El Niño

El Niño significantly impacts the global economy by disrupting agricultural output, damaging infrastructure, and reducing labor productivity. Historically, these cycles have resulted in substantial economic losses. The primary economic impacts are observed across the following sectors:

- **Agriculture and Food Security:** El Niño alters rainfall patterns, which can lead to droughts in regions like Southeast Asia, India, and Australia, but excessive rainfall and the risk of flooding in the southern United States and parts of South America (Figure 10 again). This can negatively affect the supply of crops, increasing global food prices and consumer inflation.
- **Energy Generation and Utilities:** Countries that use hydro-electric power, such as Brazil, Colombia, Venezuela, Zambia, and Zimbabwe are at risk of reduced water levels due to drier conditions and heatwaves. This places pressure on power grids, increasing reliance on more expensive fossil fuels. Power fluctuations and outages can occur, disrupting commercial and industrial activities.
- **Supply Chain and Trade Logistics:** Extreme weather and reduced water levels (e.g., in the Panama Canal) force ships to carry lighter loads and restrict shipping capacity. Flooding can damage critical infrastructure like roads, warehouses, and ports, leading to logistical bottlenecks and delivery delays.
- **Mining and Commodities:** Changes in rainfall patterns can hinder natural resource extraction. For example, excessive rain in Chile's mountains affects copper mining, while droughts in Indonesia impact water supply for nickel operations.
- **Fisheries:** El Niño disrupts the upwelling of cold, nutrient-rich waters in the Pacific, depriving small fish species (like anchovies and sardines) of food. This can impact the commercial fishing industry and local coastal economies.
- **Labor Productivity and Health:** Extreme heatwaves decrease outdoor labor productivity and increase heat-related illnesses, especially in tropical and developing nations.

Potential policy Impacts of El Niño

Strong El Niño events directly influence fiscal policy, especially when associated with natural disasters. From the perspective of public finances, strong El Niños can represent a contingent liability. The immediate effects include extra social transfers including spending on income and housing support for affected households, subsidies for affected businesses and other disaster relief payments. Medium- and long-term liabilities include recovery and reconstruction costs for infrastructure alongside some ongoing tax and loan concessions for businesses. Countries with recurring strong El Niño events are more likely to require countercyclical buffers to absorb disaster related spending. This can include mitigation spending to decrease future fiscal liabilities. But contingency reserves are not budget-neutral and come with opportunity costs to other policy areas. However, public authorities facing recurring El Niño events are more likely to view these events as real supply shocks that influence allocative efficiency. The role of the public sector is to distribute that loss efficiently, protect vulnerable sectors and households, and preserve the productive capacity of the economy.

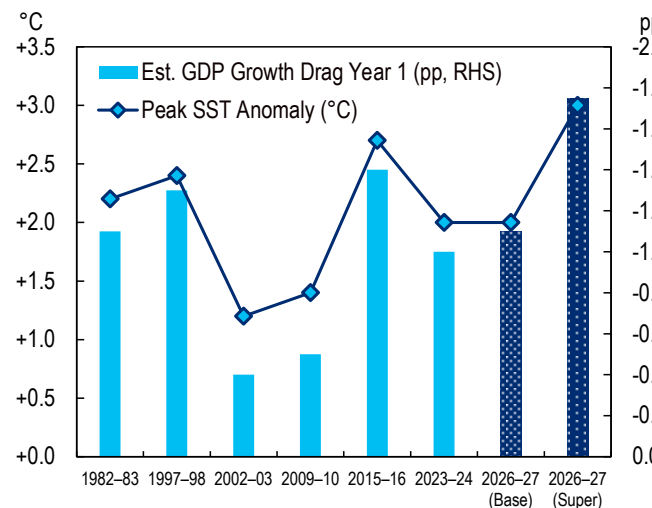
For central banks, the response is less clear. As an isolated event, El Niño can be a relative price shock for agricultural commodities. Energy provision can also be affected when this depends on hydro sources. The headline inflation impact can usually be ignored as a temporary influence. From a central banking perspective, the key question is not whether these prices rise, but whether El Niño-induced price shocks become embedded in underlying inflation and inflation expectations. If inflation is already above target and labour markets are tight, El Niño-related price pressures may reinforce concerns about inflation persistence. Central banks may place greater weight on preventing second-round effects. If inflation is near target and demand is weak, policymakers are more likely to accommodate the shock, allowing headline inflation to temporarily overshoot. Thus, identical weather shocks can have different policy implications depending on the broader macroeconomic environment. Emerging economies often confront stronger transmission from food prices into wages and expectations because food accounts for a larger share of household expenditure. Exchange rate depreciation and weaker agricultural exports can amplify these effects. In practice, El Niño is usually not a catalyst for a change in policy direction, but it can materially influence the pace and timing of policy normalization.

Impact on Global Growth

Historically, there is a larger drag on growth than expected. The economic consequences of strong El Niño events are substantial and can be long-lasting. The most comprehensive cross-country study to date, Callahan and Mankin (2023), analysed GDP trajectories across 147 countries from 1960 to 2019 and found that El Niño's damage to economic output persists well beyond the weather itself, with effects detectable for five years or more in most affected economies and up to 14 years in the most severely impacted tropical nations.¹ The mechanism is not simply a temporary weather disruption, it is a structural scarring of agricultural systems, infrastructure, and institutional capacity that compounds over time. The dollar cost of that scarring is striking. Callahan and Mankin estimate the 1982–83 event caused approximately \$4.1 trillion in cumulative lost output — the 1997–98 event cost an estimated \$5.7 trillion, making it the most economically destructive El Niño on record; and the 2015–16 event cost approximately \$3.9 trillion, equivalent to around 5% of 2016 global GDP. These figures carry wide confidence intervals and should be treated as order-of-magnitude estimates rather than precise forecasts. The actual losses are sensitive to modelling assumptions and the counterfactual growth path assumed. What the research does establish with confidence is that the damage is real, persistent, and concentrated heavily in tropical, agriculture-dependent economies, with developed markets experiencing a far smaller direct hit.

¹ Callahan, C.W. & Mankin, J.S. (2023). "Persistent effect of El Niño on global economic growth." *Science*, 380(6649), pp. 1064–1069. DOI: 10.1126/science.adf2983. Note: cumulative loss estimates carry wide confidence intervals and are sensitive to counterfactual modelling assumptions; figures should be treated as order-of-magnitude estimates.

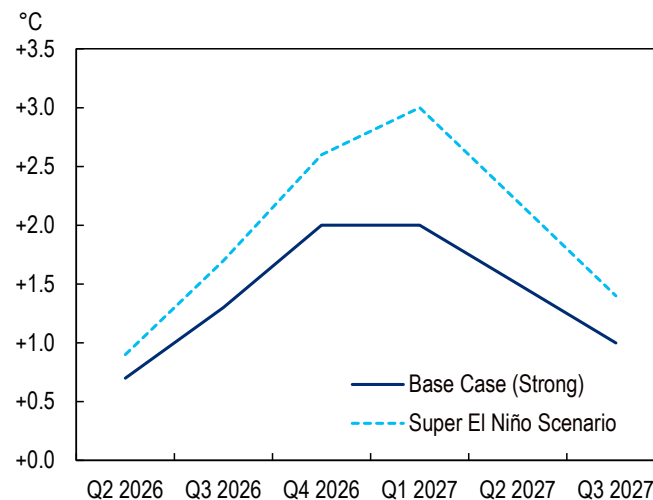
Figure 12. Sea Temps & Global Output Loss: El Niño Events



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Source: Citi Research, IMF WEO, Callahan & Mankin

Figure 13. Sea Surface Temperatures: Forecasts*



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*Based on the upcoming El Niño event.

Source: Citi Research, NOAA, BoM

The current El-Niño event could have damaging effects for years to come. The 2026–27 El Niño now forming presents a potentially more severe shock than the 2023–24 episode, though significant uncertainty remains around its ultimate intensity (Figure 12). NOAA's June 2026 assessment puts the probability of a very strong or super El Niño — sea surface temperature anomalies exceeding +2.0°C — at 63% by year-end, with the Australian Bureau of Meteorology's seasonal model forecasting a record peak above +3.0°C that would surpass the previous post-1900 record of +2.65°C set in 1902 (Figure 13). Applying the Callahan and Mankin framework to the current global economy; approximately \$110 trillion in 2026 (IMF WEO April 2026)². The damage profile is front-loaded. The sharpest output loss typically arrives in the event year itself, with the drag gradually diminishing over the following four years as economies recover, though never fully catching up to the pre-shock growth path. Under a base case strong event, cumulative five-year losses could reach \$3.0–3.5 trillion, equivalent to roughly 2.7–3.2% of current global GDP. Under a super El Niño scenario, that figure could rise to \$5.0–7.0 trillion, or 4.5–6.4% of 2026 global GDP, approaching the 1997–98 record in absolute dollar terms, though representing a smaller share of a much larger world economy. There is one structural amplifier that makes 2026–27 more dangerous than historical precedent alone suggests: global baseline ocean temperatures are already 0.3–0.4°C warmer than during the 2023–24 event due to long-term climate change, meaning the El Niño anomaly sits on top of an already elevated thermal baseline. Even a "strong" rather than "super" classification could therefore produce real-world disruptions to harvests, hydropower, shipping lanes, and sovereign balance sheets. The IMF's October 2026 World Economic Outlook will be the first major institutional attempt to formally quantify the impact, but the historical record offers little comfort. When El Niño arrives at this intensity, the economic cost is large, persistent, and unevenly distributed, falling hardest on the economies least equipped to absorb it.

Region-Specific El Niño considerations

Euro Area

As a large economy far away from the South Pacific Ocean, it would be easy to assume that El Niño-related weather disruption can have only negligible impact on the Europe's economic activity, price developments, and therefore on fiscal or monetary policy. By and large, that conclusion seems correct. In the current circumstances, however, we think it would be a mistake to ignore entirely the risk that disruptions to global food supply and prices reinforce a pre-existing "hawkish" bias of monetary policy in Europe, particularly for the ECB.

Food prices account for a relatively minor contribution to the European price indices (approximately 18 pp for the euro area) similar to other large advanced economies (circa 15 pp in the US) and much less than in economies such as China, or India for instance. This by itself ought to reduce the impact of weather disruption on consumer inflation and by, extension on domestic demand in other sectors. Further, Europe is more than self-sufficient for much of the food it consumes (cereals, meat, dairy products in particular) and only relies on net imports for a comparatively small share of products (e.g. oils). Even countries, such as the UK, which import very large proportion (more than a third) of their food requirements do so primarily from their European neighbours.

So why then would El Niño matter for the European economy? First is the observation that while Europe is self-sufficient in net terms, it also trades food actively with the rest of the world, meaning that domestic prices would not be insensitive to a global shortage, if one were to materialise. Further, the prospective El Niño event seems timed to have its peak impact approximately one year after the current energy price shock. This is relevant because European food prices exhibit sensitivity to energy prices (though gas more than oil) with a lag of up to one year. Even if energy prices were to normalise now, the impact of the recent spike on retail food prices may compound the El Niño effect towards the end of 2026 or early 2027.

Again, none of that would be relevant if central banks adopted the (reasonable) view that gyrations of food prices, in particular if triggered by identifiably temporary factors, can be ignored. The issue however is that it is by no means certain that central banks across Europe will follow that line of thinking. European central bankers seem to us generally more concerned about the risk of de-anchoring of inflation expectations than, say, their peers in the United States. That may make them more alert to a spike in food prices because research (for instance by the Bank of England) shows that consumer inflation expectations are more sensitive to realised food inflation than to any other prices.

It is also noteworthy that some central banks in Europe seem to take an asymmetric view on the risks caused by an event of the type of El Niño. In the communication of the Governing Council of the European Central Bank the statement that "extreme weather events, and the unfolding of climate and nature crises more broadly, could drive up food prices by more than expected" routinely appears. No symmetric risk on the downside is mentioned. This suggests to us that, at the margin ECB governors are less likely than others to ignore a rise in food prices, whatever the causes.

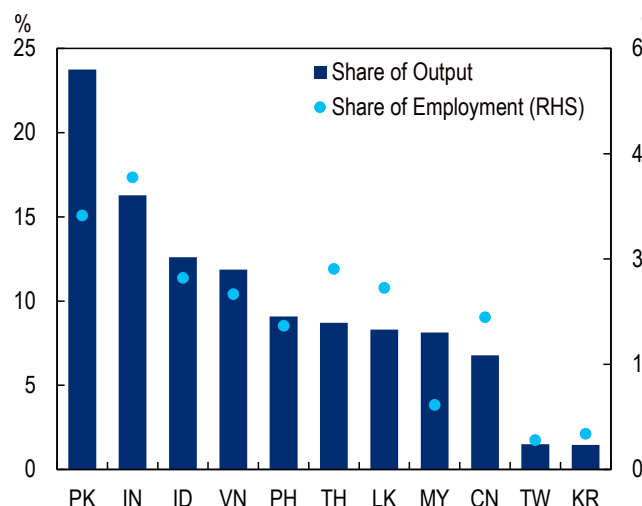
The prospect of a particularly severe El Niño event does not feature in our baseline expectations for monetary policy in Europe. But it may reinforce an existing asymmetry in monetary policy response to price shocks and push upwards the distribution of plausible policy rates at the 2027 horizon.

Asia

El Niño tends to lead to intense heat and drought conditions in Southeast Asia (Vietnam, Indonesia, the Philippines), **below normal monsoons in India, Pakistan and Sri Lanka**, while providing a more mixed pattern for China, where we see drought conditions in the North, versus more intense rainfall/flooding in the South. El Niño also tends to lead to warmer weather in South Korea and Taiwan but is not as climatically significant than in South- and Southeast Asia.

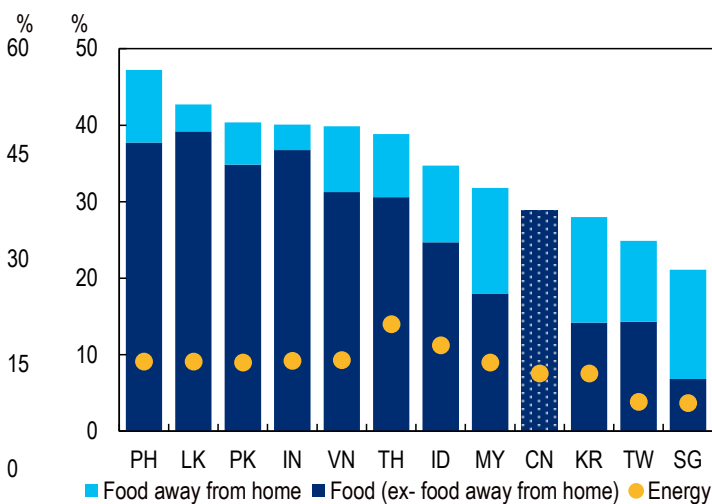
The main macroeconomic concern for Asia is through loss of crop yield and agriculture output, leading to higher food inflation. This hurt countries with relatively high share of employment in this sector – the lower income Asian economies (Figure 14)– as well as impacting prices and feed into food inflation. Rice is a particularly important staple for the region, whose prices have historically surged during El Niño episodes due to both its moisture sensitivity and the drought vulnerability of the world’s major producers. In fact, rice prices have already been on a rising trend since 4Q25 (Thai rice benchmark up 22% YoY in June). Overall, this would make the Philippines stand out globally not only because of its relatively high food weight (highest among the Asian countries we cover), but also since rice alone accounts for a disproportionately large, 8.9% CPI weight. Of course, adverse weather events could also impact other cereals, vegetables and pulses, and could still significantly impact inflation of the more food-heavy CPI baskets (Figure 15).

Figure 14. Agriculture Output & Employment (% of Total)



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Source: Citi Research, WB WDI, CEIC

Figure 15. Food & Energy Weights in CPI Baskets



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Source: Citi Research, Haver Analytics, CEIC

However, we also note reduced agriculture output and food inflation volatility for some countries, which may help mitigate the damage of the upcoming El Niño shock. For example, a recent [detailed analysis](#) of India indicates a structural shift in the resilience of Indian agriculture to the vagaries of weather. Food grain production consistently declined YoY during deficient monsoons in the pre-FY2018 period but has rarely ever seen production declines over last 8 years, and ample govt buffer stock may have also helped mitigate cereal prices. Vietnam’s rice production is also demonstrating greater resilience than others like Thailand, Indonesia or the Philippines, due to abundance of water management tools, rice fields that are of lower altitude vs. the water surface of the Mekong River, and shorter crop cycles.

Energy demand and supply can also be significantly impacted by El Niño. Energy demand for cooling could rise sharply, especially during intense heat across the summer months (not to mention health hazards), which is problematic for South and Southeast Asia where average temperatures are already very high to begin with. On the supply-side, Sri Lanka (about 35-40% of electricity generation) and Vietnam (~30%), and to a lesser extent Pakistan (20%), are also more exposed to hydropower that can suffer from deficient rainfall. In the case of both Sri Lanka and Pakistan that are currently in IMF programs and are thus required to facilitate direct cost pass-through to electricity prices as part of its prerequisite to mitigate quasi-fiscal losses, this could further add to inflationary risks.

Intense heat and extreme weather events could also dampen heat-sensitive construction activity, and in worse cases, lead to weather-related damages (floods, fires, intense storms). Adverse weather conditions could disrupt production and construction activity, particularly through the summer months, though in the case of more northern countries with winter season like China, activity can also rebound quickly once weather pressures ease, especially if El Niño also leads to a warmer-than-normal winter. In the case of extreme events, these are hard to predict and do not always coincide with ENSO signals. While the world is getting progressively warmer, which could compound the effects of El Niño, the evolution of technology and infrastructure to adapt to weather events have also improved. One extreme disaster associated with major El Niño events to watch out for are forest/bush fires, and **Indonesia stands out as having repeated episodes coinciding with El Niño** (1997-98, 2015 and 2019 fires; with haze spillovers on Singapore and Malaysia). The last major Indonesian fire in 2015 is estimated to have led to economic losses of about 2% of Indonesia's GDP.²

For now, most Asian central banks are not expected to respond significantly to supply-side inflationary shocks from El Niño. Perhaps countries with inflation already running well ahead of target and with high food-inflation sensitivity – particularly the Philippines and Pakistan – could be at risk of having central banks be more cautious, and keep monetary policy tight for longer, notwithstanding the recent sharp reversal of energy prices following US-Iran peace deal. But for the likes of India where RBI's inflation forecasts are coming from the mid-point of the upper half of the inflation band, our anticipated sharp reversal of energy prices provide significant downside risk to RBI's inflation such that, despite some lingering El Niño risks (which may impact vegetable and pulses), we still think the odds are that RBI can stand pat for longer³. Most other climate affected countries in ASEAN such as Thailand, Indonesia or Malaysia are coming from lower levels of inflation risks, and where it is more likely that central banks will look through supply-side shocks, and respond more through fiscal measures (targeted cash transfers) and administrative policies on rice supply. For the more advanced Asian economies of Korea and Taiwan, El Niño is unlikely to feature prominently in monetary policy decisions, where tightening stance is driven by other factors.

Lastly, we don't think China's economy and policies will be significantly affected by El Niño. China has long pursued policies of food security and will be buffered by strategic (wheat) reserves and more resilient water management infrastructure. We think any inflationary impulse from El Niño could be short-lived and offset by pork prices – the single most important driver of China's food CPI — which remains in a structural downcycle, weighed down by rising production efficiency and softening demand. If anything, El Niño will likely reinforce China's longer-term investment

² World Bank. "The Cost of Fire: An Economic Analysis of Indonesia's 2015 Fire Crisis", Indonesia Sustainable Landscapes Knowledge Note: 1 (February 2016)

³ For more details, see: [India Economics - Revisiting Macro Forecasts as the Energy Shock Dissipates](#)

rationale for climate-resilient infrastructure. The April Politburo meeting has already highlighted “six networks”, including water networks and urban underground pipelines.

CEEMEA

Central Europe

Central Europe is relatively unaffected by El Niño, with the central banks of the Czech Republic, Poland and Hungary generally regarding it as a minor factor in their forecasts. There could be a secondary impact via global food prices, however, El Niño is still not a major factor in our forecasts since both Poland, and to some extent Hungary, are producers of food and self-sufficient in terms of vegetables, fruits, meat and dairy.

To consider this in more detail, the Czech Republic provides a useful case. There is no meaningful transmission channel through hydropower generation or fisheries, with the main impact coming indirectly through higher global agricultural commodity prices. If this is the case, then eventually it would feed into domestic food inflation via higher global prices of grains, oilseeds, sugar, coffee, cocoa and animal feed. This leads to higher food prices across Europe and, because food accounts for roughly 15.3% of the Czech CPI basket, a strong impact on global food prices (we would worry if it rose by 10% or more) is to be expected. The passthrough into Czech food prices is about 30–50%, which means domestic food inflation could rise by 3–5% relative to the baseline. This implies an increase in headline CPI of around 0.5–0.8pp over a 1–2 year horizon. The CNB would likely view such a shock primarily as a supply-side factor and would normally look through it initially, but if core inflation remains elevated, wage growth becomes a risk. Given persisting energy-related risks, El Niño would represent an additional upside risk to the inflation outlook. Therefore, it could reinforce the case for keeping interest rates restrictive for longer rather than triggering a direct policy response.

On the fiscal side, the Czech Republic has a history of supporting households during inflationary episodes, mainly through targeted transfers and energy-related measures rather than food subsidies. Overall, El Niño is unlikely to become a major domestic macroeconomic shock for the Czech Republic, but it represents a meaningful upside risk to inflation through higher global food prices and could modestly complicate the disinflation process in 2027. The Czech Republic would not be a source of inflationary pressures for surrounding developed markets, but rather a recipient of a broader global food price shock.

Gulf Cooperation Council

El Niño has limited direct bearing on the GCC. The Gulf economies are arid and hydrocarbon-based, with agriculture accounting for a marginal share of GDP, leaving little domestic exposure to the rainfall and temperature anomalies that weigh on economic activity in monsoon-dependent economies. The relevant transmission is indirect and, on balance, negligible: to the extent that El Niño firms non-fuel commodity prices, the effect reaches the Gulf as a net food importer but is largely offset at the consumer level by administered prices and subsidies on staples. What little remains is met by the budget rather than passed through CPI and is immaterial against the region's revenue base. On spillovers, the GCC does not transmit El Niño to developed markets; as a price-taker in global food, it absorbs the same commodity-price channel that DMs face directly.

Africa

Egypt is nearing the end of harvesting what is expected to be a record wheat crop this year of an estimated 9.8–9.9m metric tonnes. Most of this is grown on land irrigated by the Nile, especially in the Nile Delta, which means that rainfall levels in Egypt, which are rarely high, are not such an issue for agricultural production. However, it raises other issues. Firstly, it means that rains in the Nile river basin are important, and in this respect at least El Niño periods are associated with heavy rains in Eastern Africa. Secondly, given that Egypt's arable land is limited, even with a record wheat harvest it will still have to import half of its wheat consumption as well as other food crops. Fortunately, rising global wheat and other food prices as a result of the Russia-Ukraine war have meant that the government has actively diversified its sources of food imports and improved storage facilities. Yet however proactive the government is, we still expect that rising global food prices will impact on inflation dynamics and slow the expected fall in the inflation rate in 2027.

Perhaps the most visible problem, however, is that El Niño periods can result in prolonged periods of very high temperatures – 40C plus – in Cairo and other major cities. This can increase evaporation levels from the Nile river and the Aswan High Dam, but critically can also lead to real strain on the electricity grid. Despite slow and ongoing efforts to boost renewable electricity production levels, rising electricity usage in the short term raises the need for gas imports. This could create a negative impact on fiscal and current account dynamics only a year after they have already been put under pressure from high global oil prices, and further strain on the country's funding requirements.

In **Nigeria**, El Niño periods can cause a delayed start to the wet season in parts, with erratic rainfall patterns at times, especially in the north of the country⁴. The Sahel parts of West Africa are particularly vulnerable to drought into which some Nigerian northern states fall. However, given the erratic weather conditions experienced in recent years, notably flooding associated with La Niña periods and some limited issues with rainfall associated with the 2023 El Niño period, against the backdrop of ongoing security issues in key food producing areas in the Middle Belt, it is difficult to determine exactly how things will play out. Our basic assumption is that the domestic harvest will continue to be under some pressure as in recent years, which will keep domestic food price inflation elevated. We are also assuming that the government will raise the VAT rate in 2027 after the elections. The combination will make it hard for the Central Bank of Nigeria (CBN) to push inflation into single digits for any sustained period of time however tight it keeps monetary policy, given that food prices still account for 40% of the basket – around 15% is imported food – which makes up the consumer price index. However, falling inflation from recent high levels, helped by base effects, should still mean that it is able to ease the Monetary Policy Rate (MPR) steadily during 2027.

While **Zambia** is a country usually in the spotlight from a drought perspective, it has just been through a drought and seems to have recovered strongly and learnt some of the key lessons.

For **South Africa**, the impact is predominantly via food inflation. This is due to it being a substantial net exporter of yellow and white maize. The planting season starts in October which means the full extent of an El Niño impact will only be

⁴ Broadly speaking across West Africa the rainy season usually lasts from April to October, while the dry season lasts from November to March. Farmers usually wait for the first rains to start the agricultural season.

known much later in the year. Historically a significant El Niño has brought about a typical supply-side shock to food inflation, even if it is only through a rise in export parity prices. This year it could be aggravated by higher fertilizer prices and rising transport costs, depending on the persistence of the oil price as we wade through the final stage of the Middle East crisis. There is 8–10 month lag between farm prices and retail store shelves, where CPI prices are collected. Yet while the timing of this lag has remained fairly constant over the years, the passthrough coefficient has changed significantly. South Africa's consistently weak GDP growth forced food retailers to reduce opex in order to retain GP margins. This was made possible by high market concentration and large economies of scale. A volumes-over-price strategy has been a consistent amongst the food retailers for some years now.

However, even with a reduction in passthrough, the inflation target has been reduced very recently from 4.5% to 3.0% and so, the central bank response should be as-hawkish as in previous cycles where passthrough was larger. With the higher oil price already creating first and second round inflationary effects, the SARB has started to tighten monetary policy and if El Niño remains a concern, it will continue to remain hawkish in our view. After the 25bp hike in May, citing oil prices and potential El Niño scare, we continue to believe the SARB will deliver another two 2bp hikes, in July and September.

Latin America

El Niño is not a tail risk for LatAm: it is the base case. Using a State-Dependent Local Projections analysis, we have estimated across eight Latin American economies over 1990–2026, we show that headline inflation responses in the El Niño state are between 2 and 17 times larger than the unconditional average. With food inflation already subdued and cutting cycles finished across the region, the 2026 context is more benign than 2023–24. Food inflation is already low, base effects are favorable, and rates are lower than before. Still, the event is developing faster than in prior cycles, compressing the time between the NOAA signal and the first measurable inflation impact⁵.

El Niño's inflationary impact in Latin America operates through three primary channels: food, energy and fishing and commodities. Each channel presents very different intensities across countries and understanding which channel dominates in each economy is the key to estimating the pass-through from climate to inflation, and hence monetary policy.

- **The food channel** is the most direct and fastest, as *El Niño* brings excess rainfall and flooding to the Pacific coast while simultaneously bringing drought to Colombia, Central America, and parts of Brazil's northeast, with the net effect on food prices depending on which effect dominates and on the food share in the CPI basket, which ranges from approximately 20% in Chile to over 37% in Peru and Ecuador.
- **The energy channel** operates primarily through hydroelectricity and is slower but more persistent, making it the primary driver of second-round inflation effects in the Andean region, where Colombia generates approximately 70% of its electricity from hydroelectric sources.
- **The fishing and commodity channel** is mostly Peru-specific but globally significant, connecting Peruvian weather to global food inflation with a lag of 3–6 months, as Peru is the world's largest exporter of fishmeal and *El Niño*

⁵For further details, see: [Latin America Economic Outlook & Strategy - El Niño's Uneven Inflation Footprint Across LatAm](#).

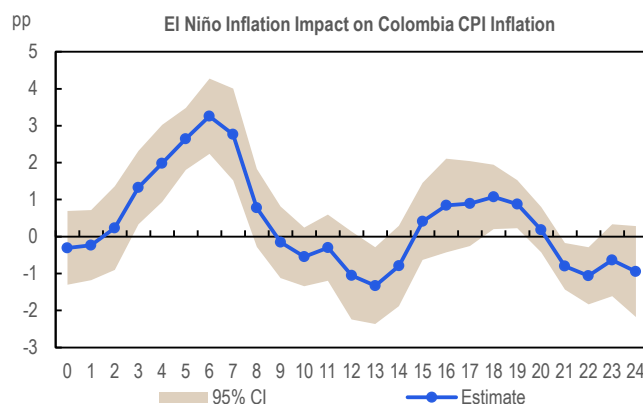
disrupts the cold-water upwelling off the Peruvian coast that sustains the anchovy population, collapsing the fishing industry; for Panama, the channel is unique, as *El Niño* reduces water levels in Gatún Lake, restricting Canal transit and raising logistics costs across the region.

We find a dramatic amplification of the inflationary response when *El Niño* arrives during an already-elevated inflation environment. Headline inflation responses in the *El Niño* state are 2 to 17 times larger than the unconditional average, with Colombia's result the most striking: in the *El Niño* state, a 1-standard deviation shock generates a cumulative headline inflation response of +3.26 pp at month 6 (Figure 16), more than 17 times the unconditional estimate of +0.19 pp, driven primarily by the energy channel through hydroelectric generation, consistent with the 2015–16 experience when Banrep initiated a new hiking cycle as food inflation surged.

Regarding Mexico, our estimate for the effect of *El Niño* on headline inflation is an accumulated effect (in a 12-month horizon) between 29-bps and 59-bps depending on the severity of the weather phenomenon (Figure 17). The effect would be reflected mainly in non-core fruits & vegetable inflation, which could have an accumulated effect between 4.8 pp and 9.6 pp. One of the most recent severe *El Niño* events in 2014–2016 resulted in fruits & vegetables inflation reaching a high of 27% YoY, close to 20 p.p. above the 10-year average. In 2023–2025 there was also an *El Niño* event, but the effect could have been amplified due to the fertilizer crisis arising from the Ukraine–Russia geopolitical conflict. In view of our inflation effect estimate and that the current Board composition is not inclined to react in the face of non-core temporary supply shocks, we think it is unlikely for Banxico to deviate from its forward guidance of keeping rates stable. Our end of year policy rate is at 6.50%.

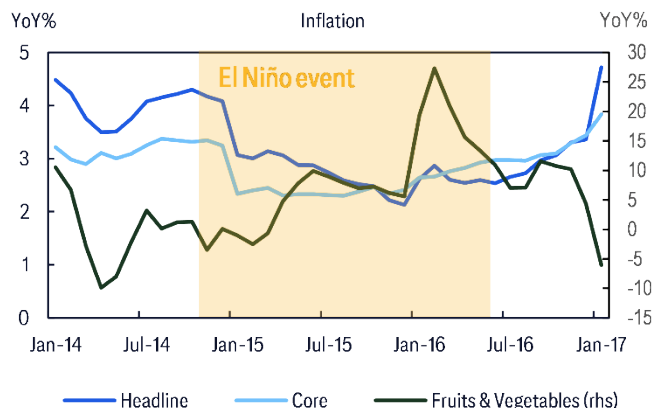
Brazil and Peru show significant amplification. Brazil's fast response (+1.47 pp at month 2) is consistent with the northeast drought channel affecting coffee, sugar, and citrus prices, while Peru show an accumulate response +1.15 pp at month 6 (Figures 18 & 19). Ecuador, Chile, Panama, and Costa Rica show more limited or mixed headline responses for different reasons in each case, with Chile, Panama, and Costa Rica showing no statistically significant amplification in the *El Niño* state, though Chile's state-dependent core response tells a different story.

Figure 16. *El Niño* impacts on Colombia's CPI inflation



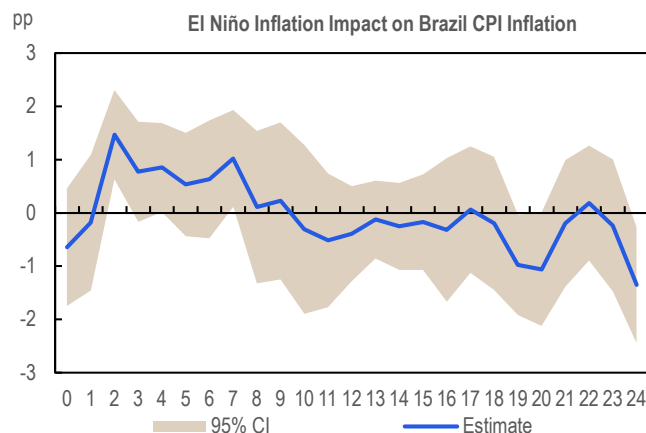
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Source: Citi Research

Figure 17. In Mexico, most recent severe *El Niño* events in 2014–2016 resulted in fruits & vegetables inflation



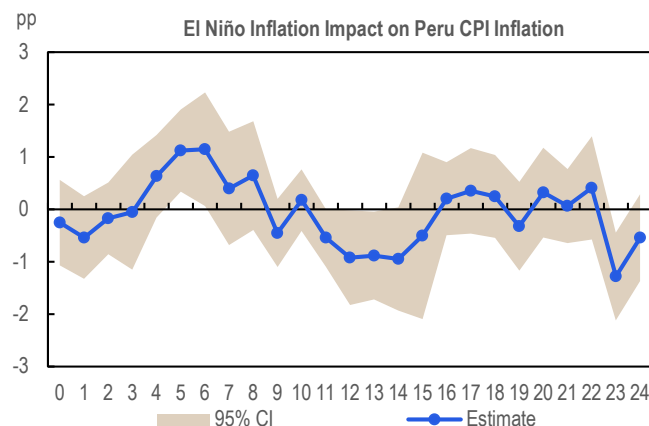
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Source: INEGI, Citi Research

Figure 18. Brazil's fast response to El Niño



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Source: Citi Research

Figure 19. Peru is affected through fishing channel



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Source: Citi Research

Global Commodities: (Strong) El Niño is a real threat to global agricultural yields

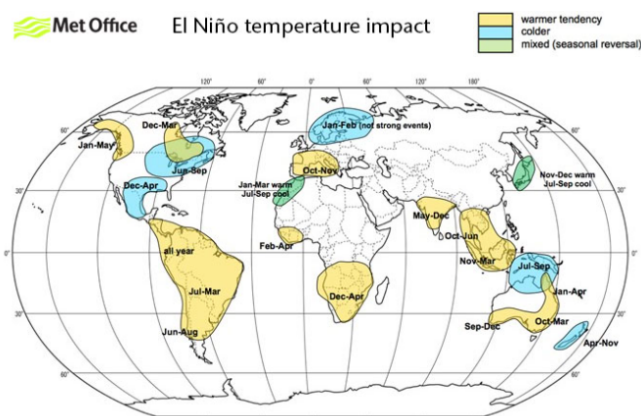
Agriculture price risks are heavily skewed to the upside over the next 6–12 months, as they face major supply risks resulting from high fertilizer prices and from likely poor weather related to El Niño (with the only question being how bad the weather impact will be for net global food production)⁶. The US NOAA has updated its El Niño probabilities, sharply revising higher its forecast for a strong or record El Niño in the June update. This is based on expectations that sea surface temperatures in the Pacific Ocean will rise by more than 2° degrees Celsius in the next few months.

The correlation between a rise in the agricultural subindex (BCOMAG) and food inflation is relatively weak. However, with a 4–5 month lag (0.65 correlation, with 0.42 R-square), the correlation increases significantly and could potentially cause a rise in the headline CPI. Overall, there is very little evidence of the transmission channel, and it varies across countries. If a country is highly reliant on agricultural commodity imports, it typically has higher exposure to the risk of higher prices translating into domestic inflationary trends.

El Niño has different impacts on a variety of agricultural commodities, which introduces a bullish skew in our price outlook for those commodities. El Niño is a climate pattern characterized by the unusual warming of surface waters in the eastern tropical Pacific Ocean. It is the "warm phase" of the larger El Niño–Southern Oscillation (ENSO) phenomenon. Strong (or "super") El Niño events can significantly disrupt global weather patterns, leading to profound and varied impacts on the agricultural sector worldwide. Strong El Niño events occur roughly every 7–10 years, though climate change is increasing their frequency and intensity. The 1997–98 and 2015–16 events — both classified as "very strong" — caused a large drop in agricultural yields globally.

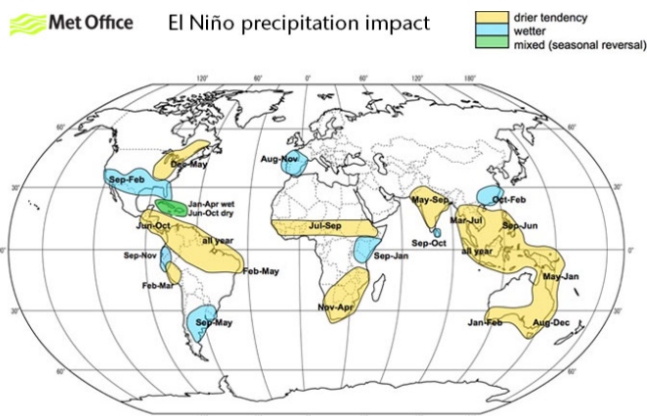
⁶For more details, see: [Global Commodities - 3Q'26 Commodity Outlook - US/Iran MoU implications: sell summer oil rallies, moderately bullish metals, buy chocolate](#)

Figure 20. Typical temperature patterns during El Niño events



Source: Met Office

Figure 21. Typical rainfall patterns during El Niño events



Source: Met Office

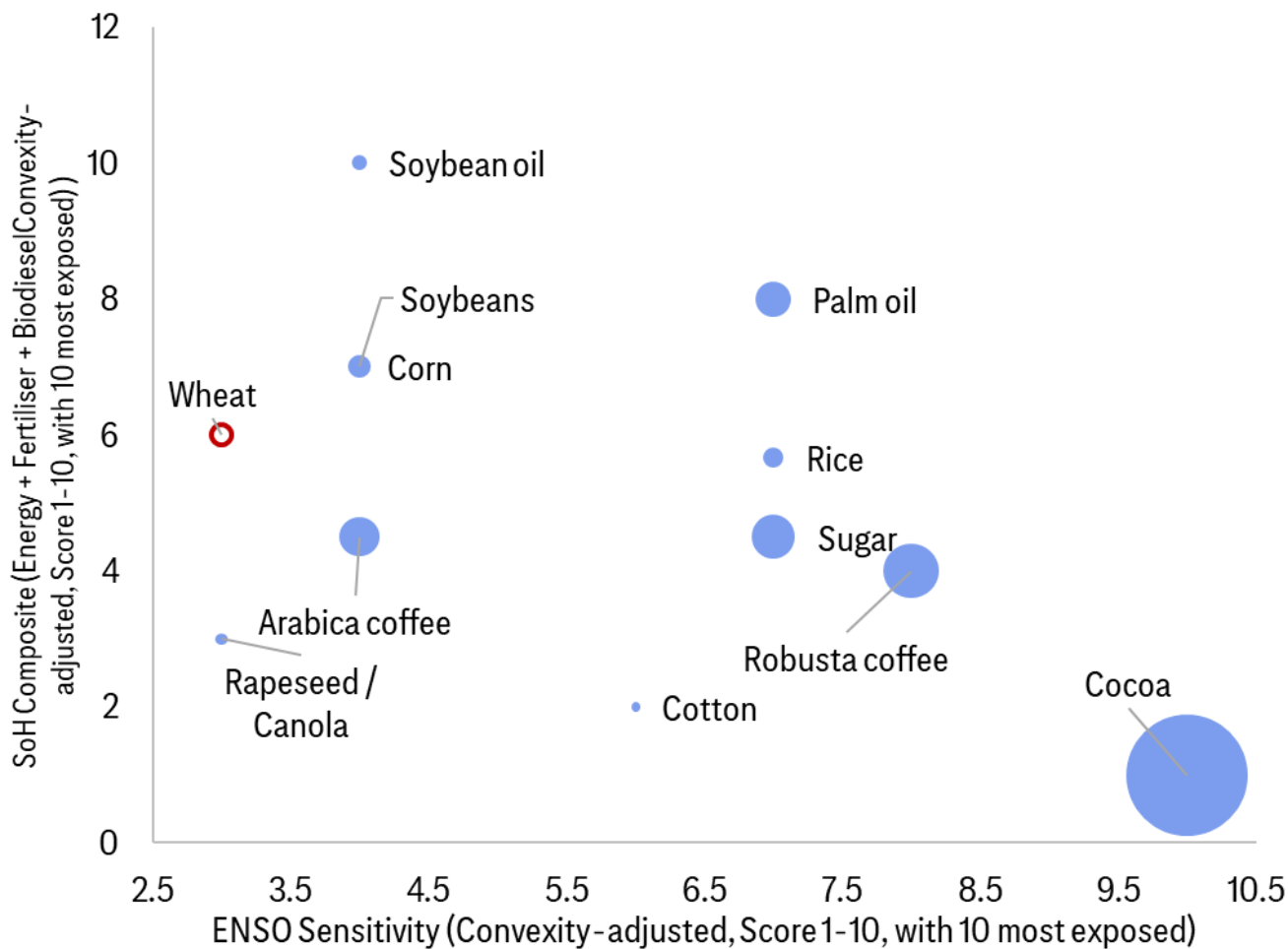
The warming of the Pacific Ocean during an El Niño event transfers a large amount of heat into the atmosphere. This disrupts the normal atmospheric circulation patterns, leading to a cascade of weather-related changes across the globe (Figures 20 & 21). These changes most commonly manifest as:

- **Droughts:** In regions that typically receive reliable rainfall, such as Southeast Asia, Australia, and parts of Africa and India.
- **Increased Rainfall and Flooding:** In the Americas, particularly along the west coast of South and Central America and in the southern United States.
- **Warmer Winters:** In the northern United States and Canada.

These shifts in temperature and precipitation are the primary drivers of El Niño's impact on agriculture, which are explored below.

ICE softs commodities are highly exposed to a significant disruption in global weather patterns, creating major risks and volatility for production (Figure 22). The impact varies widely by commodity, depending on where it is grown. We believe cocoa is a key El Niño play among agricultural commodities, as its production is highly concentrated in the areas most impacted by this weather phenomenon.

Figure 22. In the last "strong" El Niño prices on some commodities increased significantly. Size of the bubble represents the maximum value between price changes in 2015–2016, and 2023–2024 – example of two most recent strong and moderate El Niño's



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ENSO Sensitivity (Convexity-adjusted) rank assigned based on yield losses during 2015–2016, and 2023–2024 – two recent strong and moderate El Niño's SoH Composite (Energy + Fertilizer + Biodiesel) rank assigned based on yield losses during high fertilizer prices in 2022–2023, possibility for energy application, and based on share of fertilizers/energy of the variable costs for farmers.

Source: Citi Research, USDA, Bloomberg

A strong El Niño could impact sugar agricultural yields significantly as a potential drought in India (especially in Maharashtra and Karnataka), Thailand, Pakistan, Indonesia, Australia, the Philippines, and NNE Brazil would tighten global inventory. India—the world's second-largest producer and a major exporter— would face a weakened monsoon, directly reducing sugarcane yields and crushing volumes. Additionally, wet harvest weather in CS Brazil would also be negative for sugarcane development, while warmer temperatures could be beneficial. Hence, it is important to monitor rainfall levels during crop development months.

Dryness in Vietnam and Indonesia could significantly trim yields for Robusta coffee, while Brazil and Colombia are set to benefit from warmer temperatures, which is beneficial for Arabica coffee.

Overview of June Projections

For our forecasts, [click here](#).

Figure 23. Selected Economy GDP and CPI Inflation Forecasts

	GDP GROWTH						CPI INFLATION					
				Differences from last GEOS						Differences from last GEOS		
	2025	2026	2027	2026	2027		2025	2026	2027	2026	2027	
Global	2.9	2.5	2.8	-0.1			2.7	3.4	2.7	-0.1		
Industrial Economies	1.8	1.4	1.6	-0.1			2.5	3.1	2.2	-0.1		
United States	2.1	2.1	1.9	-0.1			2.6	3.5	2.1	-0.1		
Canada	1.7	1.0	1.7				2.1	2.4	2.0			
Euro Area	1.5	0.3	1.4	-0.4	0.1		2.1	2.8	2.2	-0.2	-0.1	
Germany	0.3	0.6	1.1		-0.1		2.3	2.7	2.4	-0.4	-0.2	
France	0.9	0.7	1.0	0.1			0.9	2.1	1.9	-0.3		
Italy	0.7	0.8	1.0	0.1	0.1		1.6	2.8	1.9	-0.3	-0.3	
Spain	2.8	2.6	2.0	0.2			2.7	3.2	2.6	-0.2		
United Kingdom	1.3	1.1	0.9				3.4	2.9	2.6	-0.3		
Japan	1.2	0.7	1.0				3.2	2.0	1.4		-0.7	
Emerging Markets	4.3	3.9	4.3		0.1		3.0	3.8	3.3			
Emerging Asia	5.1	5.0	4.8	0.1			0.8	2.0	2.0			
China	5.0	4.7	4.6				0.1	1.0	1.2			
India	7.5	7.1	7.0				2.2	4.3	4.4	-0.3	0.1	
ASEAN-5	4.6	4.1	4.0	0.2	-0.1		1.5	3.1	2.6	-0.1	-0.1	
Emerging Europe	2.6	2.0	2.5	-0.2			12.4	11.2	9.4	-0.2		
Poland	3.6	3.5	2.9	-0.4			3.6	3.0	3.3	-0.4	-0.1	
Turkey	3.6	2.2	3.2	-0.3	0.3		34.9	30.9	24.1	-0.3	0.3	
Latin America	2.1	1.9	2.3				8.1	7.1	6.2	0.1	0.1	
Brazil	2.3	1.8	1.8				5.0	4.6	4.1	0.2	0.1	
Mexico	0.5	1.1	2.0				3.8	4.2	3.7		-0.1	
Middle East/Africa	4.1	2.0	5.9		0.4		4.6	4.7	4.0	0.1		
Egypt	5.1	5.0	6.1				14.1	15.0	8.3	0.6	0.3	
Nigeria	4.3	4.6	5.2				23.0	15.2	11.9	0.3	0.3	
Saudi Arabia	4.6	1.7	6.2	0.1	0.8		2.0	2.1	2.4			
South Africa	1.1	1.3	1.6	0.2	0.1		3.2	4.2	4.7	-0.2		

Source: National Sources, Citi Research

Figure 24. Selected Economy Policy Rate Forecasts (%)

	Current	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027	Q2 2027	Q3 2027	Q4 2027
United States	3.75	3.75	3.75	3.75	3.25	3.00	3.00	3.00	3.00
Japan	1.00	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
Euro Area	2.25	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
Canada	2.25	2.25	2.25	2.00	1.75	1.75	1.75	2.00	2.25
Australia	4.35	4.10	4.35	4.35	4.60	4.60	4.60	4.35	4.35
United Kingdom	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.25	3.25

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Euro Area is Deposit Rate

Source: Citi Research, Bloomberg

Figure 25. Selected Economy Forecasts

		Central Bank Policy Rate (%)			Current Account % GDP			Fiscal Balance % GDP			Gov debt % GDP		
		2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027
Global		3.80	3.74	3.42	0.5	0.5	0.6	-4.6	-4.7	-4.6	95.7	95.3	96.3
	Industrial Economies	2.92	2.86	2.72	-1.1	-1.0	-0.9	-4.8	-5.1	-5.2	112.2	111.8	113.3
	United States	3.75	3.25	3.00	-3.6	-3.3	-3.2	-6.8	-7.3	-7.5	123.3	123.9	126.0
	Canada	2.56	2.06	1.94	-1.0	-2.1	-2.9	-2.4	-2.1	-2.0	100.8	101.4	101.8
	Euro Area	2.00	2.50	2.50	1.9	1.4	1.2	-2.9	-3.6	-3.7	88.2	89.3	90.0
	Germany	-	-	-	4.5	4.0	3.7	-2.7	-3.9	-4.2	63.4	65.6	67.5
	France	-	-	-	-0.6	-0.6	-0.6	-5.1	-5.1	-4.9	115.5	117.9	119.2
	Italy	-	-	-	1.1	0.9	1.1	-3.1	-2.9	-2.8	137.1	137.9	137.5
	Spain	-	-	-	3.0	2.5	2.0	-2.4	-2.5	-2.6	100.7	97.9	96.3
	United Kingdom	3.75	3.75	3.25	-2.3	-2.1	-2.2	-7.4	-3.7	-3.1	94.3	93.2	93.2
	Japan	0.75	1.00	1.50	4.6	5.1	5.2	-1.3	-2.2	-2.7	229.6	226.8	224.5
	Emerging Markets	4.92	4.83	4.25	2.5	2.3	2.3	-4.3	-4.3	-3.9	74.4	75.2	75.9
	Emerging Asia	2.41	2.41	2.38	3.9	3.9	3.9	-4.0	-3.9	-3.7	91.8	92.3	92.7
	China	1.40	1.30	1.20	3.8	3.3	3.1	-4.0	-4.0	-3.8	107.2	108.2	109.2
	India	5.25	5.25	5.25	-0.5	-0.9	-0.4	-7.6	-7.1	-7.1	84.8	82.8	82.0
	ASEAN-5	3.27	3.72	3.50	3.3	2.5	2.7	-2.8	-2.8	-2.5	73.8	74.3	75.0
	Emerging Europe	12.31	11.82	9.43	-0.8	-1.4	-1.4	-3.9	-4.1	-3.6	35.3	36.4	37.5
	Poland	4.00	3.75	3.75	-0.9	-1.5	-1.9	-7.3	-6.9	-6.7	49.1	52.9	56.7
	Turkey	38.00	35.00	27.00	-1.9	-3.1	-3.3	-2.9	-4.2	-4.4	23.8	23.2	24.0
	Latin America	8.76	8.63	7.97	-1.7	-1.5	-1.6	-5.1	-5.4	-4.8	63.6	66.3	67.9
	Brazil	15.00	14.25	12.50	-2.9	-2.2	-2.2	-8.3	-8.9	-8.4	78.6	83.4	87.8
	Mexico	7.00	6.50	6.50	-0.5	-1.0	-1.0	-4.3	-4.4	-3.7	52.6	54.8	55.2
	Middle East/Africa	5.56	5.59	4.30	3.0	1.5	1.2	-4.5	-5.0	-4.2	24.6	23.7	24.1
	Egypt	20.00	19.00	11.00	-3.4	-3.4	-2.8	-6.1	-5.5	-4.6	74.7	65.9	60.7
	Nigeria	27.00	25.50	17.50	4.5	4.0	2.2	-2.9	-2.9	-2.8	27.2	23.0	22.8
	Saudi Arabia	-	-	-	-2.6	-1.9	-3.6	-5.8	-6.3	-5.1	-	-	-
	South Africa	6.75	7.50	7.00	-	-0.3	-0.5	-4.5	-4.5	-4.4	74.9	76.0	80.1

Source: National Sources, Citi Research

Figure 26. Selected Economy 10-year yields (%)

	Current	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027	Q2 2027	Q3 2027	Q4 2027
United States	4.43	4.32	4.46	4.11	3.75	3.75	3.75	3.75	3.75
Japan	2.66	2.18	2.55	2.65	2.70	2.65	2.60	2.60	2.60
Euro Area (bunds)	2.87	2.86	3.02	3.00	3.00	3.00	3.00	3.10	3.10
Canada	3.38	3.38	3.38	3.38	3.38	3.38	3.38	3.38	3.38
United Kingdom	4.69	4.54	4.91	4.95	5.00	4.75	4.65	4.50	4.50

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Source: Citi Research, Bloomberg

Select Economy Discussion

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Resilient activity, stable labor market data, and sticky core PCE inflation have kept the market pricing rate hikes by the Fed over the next twelve months. We continue to think the next Fed move is more likely to be a cut rather than a hike. We expect that core inflation annualizing closer to 2% in summer data will allow Fed officials to cut rates if the labor market weakens further. Our base case includes rate cuts in October, December and January to a 2.75–3% policy rate. GDP rose 1.6% in Q1 as consumer spending growth slowed but AI-related investment remained strong. Q2 consumption data has been resilient so far. We continue to expect solid growth in 2026, due partly to continued strength in AI-related business investment.

Core PCE inflation has been sticky above 3%YoY while core CPI has slowed below 3%, an abnormal divergence as CPI typically runs stronger than PCE. Headline inflation should start to ease in the summer months as oil and gasoline prices have been falling. There has not been much passthrough from energy prices to core inflation so far and the pullback in oil in recent weeks should limit further upside. Core PCE inflation is sticky in part due to rising prices for AI-related goods like computer software and accessories that get a much larger weight than in CPI. We expect more benign monthly core inflation readings in the summer in part as some of these AI-related prices stabilize.

Monthly payroll job growth has been very volatile month-to-month over the last year but has picked up on a 6m moving average. The unemployment rate has increased gradually over the last couple of years but has stayed within a narrow range around 4.3–4.4% in the last several months. We expect labor demand to remain softer than labor supply in coming months, which would put further upward pressure on the unemployment rate. The labor market continues to be defined by a low hiring rate but also low layoff rate and is not a source of inflationary pressure as wage growth has slowed.

New Fed Chair Warsh gave his first press conference in June and emphasized not giving forward guidance on policy. He announced several task forces that will work on various priorities like communication, balance sheet, data sources, inflation frameworks and productivity/jobs.

Figure 27. United States — Economic Forecasts

		2025F	2026F	2027F	2025		2026				2027			
					Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP	SAAR				4.4	0.5	2.0	2.5	1.8	1.8	1.8	1.8	1.8	1.8
	YoY	2.1	2.2	1.9	2.3	2.0	2.7	2.3	1.7	2.0	2.0	1.8	1.8	1.8
Domestic Demand	SAAR				2.8	0.6	2.8	2.4	1.9	1.9	1.9	1.9	1.9	1.9
	YoY	2.4	2.1	1.9	2.3	1.8	2.1	2.1	1.9	2.2	2.0	1.9	1.9	1.9
Consumption	SAAR				3.5	1.9	1.6	2.1	1.7	1.9	2.1	2.1	2.1	2.1
	YoY	2.6	2.1	2.0	2.6	2.1	2.4	2.3	1.8	1.8	2.0	2.0	2.1	2.1
Business Investment	SAAR				3.2	2.4	10.4	5.3	3.8	2.7	1.9	1.9	1.9	1.9
	YoY	4.1	5.5	2.5	4.0	5.6	5.8	5.3	5.4	5.5	3.4	2.6	2.1	1.9
Housing Investment	SAAR				-7.1	-1.7	-8.0	2.0	2.0	3.0	3.0	3.0	3.0	3.0
	YoY	-2.2	-2.8	2.8	-2.3	-3.8	-5.5	-3.8	-1.5	-0.3	2.5	2.7	3.0	3.0
Government	SAAR				2.2	-5.6	4.4	0.7	0.7	0.7	0.7	0.7	0.7	0.7
	YoY	1.1	0.5	0.7	1.1	-1.2	0.1	0.3	0.0	1.6	0.7	0.7	0.7	0.7
Exports	SAAR				9.6	-3.2	12.9	10.9	3.0	3.0	3.0	3.0	3.0	3.0
	YoY	1.6	6.1	3.5	1.7	1.1	4.1	7.3	5.7	7.3	4.9	3.0	3.0	3.0
Imports	SAAR				-4.4	-1.0	21.4	6.2	3.0	3.0	3.0	3.0	3.0	3.0
	YoY	2.7	3.6	3.2	-1.7	-1.9	-5.0	5.1	7.1	8.1	3.8	3.0	3.0	3.0
PCE Deflator	YoY	2.6	3.6	2.1	2.7	2.8	3.1	3.9	3.8	3.5	2.8	1.9	1.8	1.9
Core PCE Deflator	YoY	2.8	3.2	2.2	2.9	2.9	3.1	3.3	3.2	3.0	2.5	2.2	2.1	2.1
Unemployment Rate	%	4.3	4.5	4.3	4.3	4.5	4.3	4.5	4.7	4.6	4.5	4.3	4.2	4.2
Policy Rate Upper Bound EoP	%	3.75	3	3	4.25	3.75	3.75	3.75	3.5	3	3	3	3	3
Federal Gov't Balance (Fiscal Year)	US\$bn	-1775	-2020	-2203										
	% of GDP	-5.8	-6.3	-6.5										
General Gov't Balance (Cal Year)	% of GDP	-6.8	-7.3	-7.5										
Federal Debt (Fiscal Year)	% of GDP	99	100	102										
General Gov't Debt (Calendar Year)	% of GDP	123	124	126										

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Source: Citi Research, Bureau of Economic Analysis, Bureau of Labor Statistics, Department of Treasury

Canada

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Quarterly GDP growth could remain volatile this year, impacted by substantial shifts in trade patterns. GDP contracted for two quarters in a row, with the output gap remaining negative. Consumption was surprisingly soft in Q1 and headwinds such as slower population growth and higher rates are further headwinds to consumption this year.

The unemployment rate has stayed within a range around 6.5–7% over the last year. Wage growth slowed to 3.2% after some composition issues pushed it higher for a couple of months. We expect the unemployment rate to remain elevated in the second half of the year as labor demand remains soft despite slower population growth. The unemployment rate around 6.5–7% suggests the output gap remains negative.

Higher energy prices and base effects boosted headline inflation in May to 3.2%YoY but core measures remained benign, close to 2%. Lower energy prices will start to weigh on headline inflation in June. Annual core inflation (the average of CPI-trim and CPI-median) has been close to or under 2% for many months in a row. Data like a jump in CFIB price plans keeps us cautious on some near-term risks of stickier core inflation in Q2, similar to last year. But also like last year, we expect softer demand to ultimately keep core inflation subdued and rate hikes very unlikely this year. Home prices have been falling on an annual basis and forward-looking indicators for home prices have generally been soft.

The Bank of Canada has kept policy rates unchanged in recent meetings at 2.25%, the lower end of the neutral range. Despite markets pricing around 50bp of rate hikes, we expect the Bank of Canada will continue cutting policy rates this year to a terminal rate of 1.75% as activity, labor market and core inflation data remain soft. Rate hikes seem unlikely to us in an environment where home prices are falling and core inflation is close to target.

Figure 28. Canada - Economic Forecast, 2024-2026F

Metric		Annual			2025	2026				2027			
		2025	2026	2027	4QF	1QF	2QF	3QF	4QF	1QF	2QF	3QF	4QF
Real GDP	YoY	1.9	0.5	1.5	0.7	-0.1	0.7	0.3	0.9	1.3	1.3	1.6	1.7
	SAAR				-1.0	-0.1	2.0	0.5	1.3	1.7	1.7	1.7	1.7
Final Domestic Demand	YoY	2.2	1.4	2.0	1.5	1.3	1.1	1.7	1.6	2.2	1.9	1.9	1.8
	SAAR				2.7	-0.4	2.8	1.6	2.4	1.8	1.8	1.8	1.8
Private Consumption	YoY	2.3	1.4	1.4	1.9	1.9	1.1	1.5	1.2	1.2	1.4	1.5	1.5
	SAAR				2.8	1.4	0.8	1.0	1.5	1.5	1.5	1.5	1.5
Government Spending	YoY	3.2	1.9	2.1	3.1	2.1	1.6	2.2	1.6	2.6	2.2	1.9	1.5
	SAAR				5.6	-2.4	3.0	3.0	3.0	1.5	1.5	1.5	1.5
Private Fixed Investment	YoY	0.4	0.8	3.6	-1.9	-1.6	0.6	1.3	2.8	4.5	3.2	3.6	3.3
	SAAR				-1.7	-3.0	8.5	1.7	4.5	3.3	3.3	3.3	3.3
Exports	YoY	-1.4	-0.4	1.4	-2.9	-4.1	2.3	1.1	-0.7	0.1	1.0	1.8	2.7
	SAAR				6.7	-0.5	-0.8	-0.8	-0.8	2.7	2.7	2.7	2.7
Imports	YoY	-0.3	3.0	3.0	-1.2	0.7	1.2	4.9	5.2	3.0	3.0	3.0	3.0
	SAAR				2.0	12.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
Consumer Price Index	YoY	2.1	2.6	2.0	2.2	2.2	2.8	2.7	2.5	2.4	1.8	1.9	1.9
Unemployment Rate	%	6.9	6.6	5.7	6.8	6.6	6.8	6.7	6.3	6.0	5.8	5.5	5.5
Net Exports Contribution		-0.3	-1.1	-0.6	1.3	-3.8	-1.2	-1.2	-1.2	-0.2	-0.2	-0.2	-0.2
Inventories Contribution		0.0	0.1	0.0	-4.8	4.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0

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Source: Citi Research, Statistics Canada

Euro Area

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Still stag-flationary – To account for the 15-20% drop in oil prices since the May GEOS we revise our inflation forecasts lower both for 2026 and 2027 (-0.2pp and -0.1, respectively). However, headline inflation is still expected to stay close to 3% YY until early 2027, partly as the reversal of energy tax cuts will keep energy inflation elevated for a bit longer, and partly because we still expect food prices to accelerate later on this year (potential effects of El Nino compounding higher transport costs and fertilisers shortages). Also, some indirect effects on core prices are probably already in the pipeline and will keep core HICP inflation around 2.5% YY this year.

Resilient growth (ex- Ireland) – We revise our 2026 GDP forecast *lower* this month (by -0.4pp) on the back of soft 1Q26 data, entirely driven by Ireland. This mostly reflects delayed effects of US tariffs, after front-loading in 2025, and as such it should be read as genuine Eurozone weakness rather than accounting flukes. More adjustment in Irish exports may still be in the pipeline. Aside from Ireland, though, Eurozone growth has been remarkably steady at just above 1% annualised rate (and domestic demand around 1.5%) recently. We pencil in a temporary slowdown in 2Q-3Q 26 due to the energy shock (and supported by survey data), but we still expect growth returning to the previous trend (0.3-0.4% QQ) from 4Q. Europe should benefit too from the global tech investment cycle and from what we dubbed 'autonomy spending' (defense, green, technological investment). Private spending should remain weak, as real incomes are softening on higher inflation and softer job creation.

ECB: Inflatio Delenda Est – The ECB delivered a 25bp 'hawkish' hike in June and after the meeting we found very little reason to invalidate the plausibility of a second 25bp rate hike in July. The recent declines in oil prices reduce the chances of a July hike, but with inflation remaining close to 3% and risks of some pipeline price pressures emerging in core HICP in the coming months, we maintain our call for another 25bp hike in 2H this year and for the deposit rate to stay at 2.50% for the next couple of years.

Figure 29. Euro Area -- Economic Forecasts

					2025	2026				2027			
		2025F	2026F	2027F	Q4	Q1F	Q2F	Q3F	Q4F	Q1F	Q2F	Q3F	Q4F
Real GDP	YoY	1.5	0.3	1.4	1.2	0.3	0.3	0.3	0.5	1.1	1.4	1.5	1.5
	SAAR	-	-	-	0.7	-0.9	0.3	1.1	1.3	1.7	1.7	1.3	1.3
Final Domestic Demand	YoY	1.9	1.3	1.7	1.8	1.2	1.5	1.3	1.1	1.4	1.7	1.8	1.8
Private Consumption	YoY	1.5	0.9	0.9	1.3	1.1	0.9	0.9	0.7	0.7	0.9	0.9	1.0
Government Consumption	YoY	1.4	2.1	1.4	1.5	2.3	2.4	2.1	1.8	1.6	1.4	1.3	1.2
Fixed Investment	YoY	3.2	1.3	4.0	3.3	0.3	2.2	1.5	1.5	3.0	3.8	4.5	4.6
— Business Equipment	YoY	4.8	1.8	5.0	3.9	0.0	3.2	1.7	2.2	3.6	5.1	5.7	5.5
— Construction	YoY	1.4	0.9	2.9	2.6	0.6	1.1	1.3	0.7	2.4	2.4	3.3	3.5
Stocks (Contrib to YY GDP Growth)	pp	0.2	-0.1	-0.4	0.2	0.5	-0.2	-0.3	-0.3	0.5	-0.2	-0.3	-0.3
Exports	YoY	2.2	0.0	1.8	2.1	-0.9	0.1	-0.2	0.8	1.5	1.7	1.8	2.1
Imports	YoY	3.6	1.8	1.5	3.8	1.9	2.5	1.4	1.5	1.4	1.4	1.5	1.6
HICP	YoY	2.1	2.8	2.2	2.1	2.0	3.1	3.0	3.1	2.9	2.1	2.1	2.0
CPI Ex Energy and Food	YoY	2.4	2.5	2.2	2.4	2.3	2.4	2.6	2.7	2.7	2.3	2.1	1.9
Unemployment Rate	YoY	6.3	6.2	6.1	6.3	6.2	6.3	6.3	6.2	6.2	6.2	6.1	6.0
Current Account Balance	EUR bn	302.7	224.5	207.3									
	% of GDP	1.9	1.4	1.2									
General Government Balance	EUR bn	-466.1	-590.8	-636.1									
	% of GDP	-2.9	-3.6	-3.7									
Government Primary Balance	% of GDP	-1.0	-1.5	-1.5									
General Government Debt	EUR bn	14,159											
	% of GDP	88.2	89.3	90.0									

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Source: Citi Research, Eurostat

Germany

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The fiscal expansion is now well underway, with concerns less about pace of deployment but rather appropriate use of funds. In other aspects, policy is however barely progressing. The government aims to have the budget approved in cabinet by July, pass a law to speed up infrastructure approval processes before the summer break and make significant inroads on labour market, pensions and care reforms. Yet so far, progress is timid at best in all arenas.

France

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France's domestic demand remains lacklustre compared to Euro Area peers and inflation is accordingly lower. The latter might be, on the face of it, a positive during times of an energy price shock, but the resulting higher real rates leave the economy comparatively more vulnerable to monetary policy tightening. Unemployment is already increasing and with fiscal policy too constraint to provide support, we think matters might deteriorate further in the short term.

Italy

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We reverse some of the recent stag-flationary adjustments to our forecasts, with 2026-27 growth revised up marginally, and inflation revised lower more substantially (0.6pp cumulatively across 2026-27). We still see growth supported by NGEU spending, German fiscal stimulus and European defense investment. We expect the government [fiscal conservatism](#) to persist and demand for BTPs to remain solid, with [potential for further credit rating upgrades](#) ahead.

Spain

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Thanks to a bigger reliance on renewable energy and LNG, Spain is weathering the energy shock better than others. Growth has remained solid through 1H26 at around 2.5%. The government has committed to a 0.3pp of GDP energy-related fiscal support while NGEU spending, ongoing immigration and falling structural unemployment are all tailwinds for 2026, but possibly less so in 2027-28. A real estate recovery could be slowed down by higher ECB rates.

Figure 30. Germany, France, Italy and Spain - Economics Forecasts

		Germany			France			Italy			Spain		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	0.3	0.6	1.1	0.9	0.7	1.0	0.7	0.8	1.0	2.8	2.6	2.0
Final Domestic Demand	YoY	1.3	1.1	1.4	1.6	0.9	1.0	1.6	1.4	1.1	3.7	3.3	2.4
Private Consumption	YoY	1.7	0.9	0.8	0.4	0.4	0.6	1.1	0.9	0.6	3.4	2.8	2.0
Government Consumption	YoY	1.3	1.9	1.8	1.6	1.7	1.2	0.6	0.7	1.1	2.4	2.3	1.1
Fixed Investment	YoY	0.0	0.6	2.6	0.8	0.5	2.0	3.8	3.0	2.5	5.8	5.5	4.4
Exports	YoY	-0.3	-0.3	0.6	2.3	-0.3	2.8	1.4	2.2	2.1	3.6	2.0	3.2
Imports	YoY	3.7	1.2	1.6	4.3	0.0	2.7	3.9	1.7	1.8	6.2	3.4	4.4
HICP	YoY	2.3	2.7	2.4	0.9	2.1	1.9	1.6	2.8	1.9	2.7	3.2	2.6
Unemployment Rate	YoY	3.8	4.0	4.0	7.5	8.1	8.3	6.1	5.3	5.1	10.5	9.5	8.9
Current Account Balance	EUR bn	198.7	183.9	173.7	-17.9	-19.4	-18.1	25.0	21.5	25.5	51.2	44.7	38.0
	% of GDP	4.5	4.0	3.7	-0.6	-0.6	-0.6	1.1	0.9	1.1	3.0	2.5	2.0
General Government Balance	EUR bn	-117.8	-178.3	-195.8	-152.5	-156.4	-154.8	-70.4	-67.5	-65.8	-40.3	-44.2	-48.1
	% of GDP	-2.7	-3.9	-4.2	-5.1	-5.1	-4.9	-3.1	-2.9	-2.8	-2.4	-2.5	-2.6
Government Primary Balance	% of GDP	-1.6	-2.7	-2.9	-2.9	-2.7	-2.4	0.8	1.1	1.4	0.0	0.0	-0.1
General Government Debt	EUR bn	2,838.2	3,023.2	3,225.7	3460.5	3618.4	3774.9	3095.5	3200.5	3290.5	1698.2	1743.6	1792.9
	% of GDP	63.4	65.6	67.6	116.0	118.4	120.1	138.5	137.9	137.8	100.7	98.1	96.5

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Source: Citi Research, Destatis, INSEE, Istat, INE

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GDP data continues to send mixed messages. Q1 performance came in strong, in part due to a strong March figure. This was predominantly driven by strong manufacturing being brought forward following the start of the Middle-East conflict. In April, however, the GDP data showed an economy in contraction. The underlying cause remained the Iran conflict: which continued to act as a headwind. The marginal information between the March release (covered in the last GEOS) and April (the most recent print) is important insofar as it showed a meaningful slowdown in the service sector which is main driver of the UK economy. The development of slack here may prove an important indicator of a more sustained weakness in the real economy that, ultimately, limit the price that we would otherwise see from elevated input costs. On top of this, we continue treat the data with caution. For a start, there are questions about the reliability of some of these numbers. Seasonal adjustment issues (which we flagged in the last GEOS) likely overstated Q1 strength. Secondly, a more forward-looking view for the trajectory of the UK continues to hinge on assessment of the Iran conflict which leaves forecasts sensitive to geopolitical assessments.

CPI continues its downward path, but still above target. CPI continued to downside surprise in the May print. While this was led by a [softening in eight out of twelve divisions](#), it was offset by strong a transport component on the back end of higher energy prices. While the MOU will help stabilise energy prices in the medium term, the higher elevated level means we expect energy price to grow by an average of 8-9% YoY per month for the remainder of this calendar year. As a result, we would expect headline CPI to pick up in Q3 of this year and to remain at broadly 3% throughout Q1 of next year, before it starts to unwind again in the remainder of 2027.

Political answers but fiscal questions. The prime minister's resignation, alongside [the election of Andy Burnham to parliament](#), has put an end to a prolonged period of speculation on UK politics. While the leadership election has not yet started, it looks increasingly likely that Mr Burnham will be the only candidate and thus we could see him in office as early as mid/late summer. However, a new prime minister will face old challenges. In opting to adhere to the fiscal rules and the manifesto, Mr Burnham will likely brush up against the same [fiscal 'trilemma'](#) that the Starmer government faced. Some of the pressures are likely to ease from here, like the household energy bill cap forecast for Q4 which is already falling alongside gas and power futures. But others, such as cumulative erosion of fiscal headroom and need to fund defence pledges, remain unresolved. Absent a clear policy platform – an area of politics where Mr Burnham has been conspicuously silent – we think these remain a key risk moving in Q3 and towards the autumn budget.

Monetary policy holding steady. Last week the Bank of England voted 7-2 to hold rates at 3.75% with Megan Greene joining Huw Pill as a second dissenter to hike rates by 25bps. Both Greene and Pill communicated the upside risks to inflationary persistence from second round effects and therefore placed more emphasis on inflation risk management. More broadly, however, the Committee welcomed the MOU between the United States and Iran as a sign that global energy prices will begin to stabilise. As such, the majority on the MPC placed more weight on the weakening economic outlook – i.e., demand management. They felt that a vote to hold was akin to an already restrictive stance, relative to a counterfactual where they could have been cutting rates if it were not for the energy price shock.

Importantly, the MPC materially revised down their inflation forecast. [The new forecast now sits below their previous assessment in the April MPR](#). While some of these are mechanical base effects, it is also implicit in reflecting a greater degree of slack opening up. [We expect the Bank of England to hold rates for the remainder of this year](#), with the next move being a cut in 2027Q2.

Figure 31. UK -- Economic Forecasts

					2025	2026				2027			
		2025F	2026F	2027F	Q4	Q1F	Q2F	Q3F	Q4F	Q1F	Q2F	Q3F	Q4F
Real GDP	YoY	1.3	1.1	0.9	1.1	1.1	1.1	1.0	1.0	0.6	0.8	1.1	1.3
	SAAR	-	-	-	0.6	2.5	0.6	0.3	0.5	0.9	1.3	1.5	1.6
Domestic Demand (inc. inventories)	YoY	2.0	1.5	1.2	1.6	1.6	1.5	1.5	1.2	0.8	1.1	1.3	1.5
Private Consumption	YoY	0.8	1.1	1.2	0.5	0.8	1.0	1.1	1.2	0.9	1.1	1.3	1.4
Government Consumption	YoY	1.6	1.2	1.2	1.2	1.7	1.0	1.0	1.2	1.1	1.1	1.1	1.2
Investment	YoY	4.3	0.8	2.9	4.6	0.5	0.7	0.6	1.4	2.8	2.9	2.9	2.9
Exports	YoY	2.0	1.2	2.1	0.8	0.7	2.2	0.6	1.3	1.7	1.9	2.3	2.6
Imports	YoY	4.2	2.2	2.8	2.1	1.5	2.2	2.4	2.5	2.6	2.8	2.9	2.9
Unemployment Rate	YoY	4.7	5.1	5.2	5.0	4.9	5.0	5.2	5.3	5.3	5.2	5.1	5.0
CPI	YoY	3.4	2.9	2.6	3.4	3.1	2.7	2.9	3.0	2.9	2.7	2.4	2.2
Current Account	£bn	-70.6	-65.9	-70.1									
	% of GDP	-2.3	-2.1	-2.2									
PSNB	£bn FY	-225.6	-115.8	-102.3									
	% of GDP	-7.4	-3.7	-3.1									
General Govt Balance	% of GDP	-7.4	-3.7	-3.1									
Government Primary Balance	% of GDP	-2.4	-1.4	-0.8									
Public Debt	% of GDP	94.3	93.2	93.2									
Gross Nonoil Trading Profits	YoY	-	-	-									

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Source: Citi Research, ONS

Scandi Sweden

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The economy recovered in 2025, but the labour market still displays signs of slack and slower growth abroad is likely weighing on goods exports. We see 2026 growth close to 1¾ % now vs 2.0% at the start of the year. Sweden is well positioned to benefit from the global tech investment cycle and green and defense investment in the rest of Europe. With inflation still undershooting target, [we see the Riksbank on hold](#) at the cyclical low of 1.75% until end-2027.

Norway

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Growth remains broadly in line with potential for now (0.3-0.4% QQ), but given the inflationary impact of higher oil prices and stickiness in non-energy inflation and wages, we expect the Norges Bank to hike again in the summer, [after hiking in May](#) in line with our expectations.

Figure 32. Sweden, Norway -- Economic Forecasts

		Sweden			Norway		
		2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	1.8	1.7	2.1	1.8	2.3	2.0
Final Domestic Demand	YoY	1.8	2.0	1.9	1.9	2.4	2.4
Private Consumption	YoY	2.0	2.2	1.7	2.8	1.9	1.5
Government Consumption	YoY	1.4	0.4	0.5	1.5	1.7	2.0
Investment (ex stocks)	YoY	2.0	3.4	3.4	0.2	4.6	3.9
Exports	YoY	4.2	3.5	2.4	3.6	2.7	1.9
Imports	YoY	4.6	3.6	3.0	3.6	2.4	2.0
CPI	YoY	2.6	1.1	1.8	3.1	3.9	3.0
Unemployment Rate	YoY	9.0	8.5	8.1	4.5	4.7	4.6
Current Account Balance	% of GDP	6.7	7.1	6.4	1.2	14.4	27.8
General Government Balance	% of GDP	-1.4	-2.5	-1.5	11.1	9.9	7.9
General Government Debt	% of GDP	32.8	34.2	34.7	-	-	-

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Source: Citi Research, National Statistical Offices

Japan

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While the situation in the Middle East appears to be moving toward resolution, uncertainty remains before a full settlement is reached, and we have not made any major revisions to our FY2026 inflation and growth forecasts this month. Our baseline outlook already assumes a gradual decline in oil prices in the second half of the year. The only significant revision we have made is a downward adjustment to our FY2027 core CPI forecast, from around 2% to the mid-1% range, reflecting the increased likelihood of food tax cuts being implemented from April 2027. However, as food products are daily necessities and the measure is expected to be temporary, we view the impact on economic growth as limited and have not made any significant revision to our growth forecast. In the near term, the impact of higher oil prices is expected to gradually feed through to consumer prices, with core CPI projected to rise above 2% again from the summer onward and potentially reaching 3% temporarily heading into early next year.

Against this backdrop, the BoJ raised its policy rate to 1% at its June meeting, as we expected, and decided to halt the reduction in JGB purchases from April 2027. While the BoJ's statement indicated vigilance about upside risks to inflation, there was no language suggesting an acceleration in the pace of rate hikes. We continue to expect additional rate hikes in December of this year and June of next year, with the policy rate reaching a terminal rate of 1.5%. While the dissenting vote by Board

Member Asada, known to be a reflationist, represents an important dovish signal for the future policy path, upside risks to our forecast include a more hawkish Fed driving further yen depreciation, aggressive corporate price pass-throughs, and fiscal concerns surrounding the Takaichi administration.

Figure 33. Japan – Economics Forecasts

					2025	2026					2027			
		2025F	2026F	2027F	4Q	1QF	2QF	3QF	4QF	1QF	2QF	3QF	4QF	
GDP	YoY	1.2	0.7	1.0	0.4	0.3	0.3	1.1	1.2	1.0	1.0	1.0	1.1	
	SAAR				0.7	1.8	0.9	1.0	1.0	1.0	1.0	1.1	1.1	
Domestic Demand	YoY	1.5	1.0	1.0	1.2	0.2	0.4	1.3	1.2	1.6	1.2	1.0	1.2	
	SAAR				0.5	0.6	1.7	2.6	0.1	1.9	0.0	2.1	0.8	
Private Consumption	YoY	1.5	1.1	0.9	1.4	1.1	1.2	1.0	1.2	1.0	1.0	0.9	0.9	
	SAAR				0.3	1.4	1.0	1.1	1.1	0.8	0.9	0.9	0.9	
Business Investment	YoY	1.9	2.1	2.0	3.2	1.3	0.7	1.2	0.5	1.5	1.4	1.2	1.0	
	SAAR				4.7	-2.8	1.4	1.8	1.8	1.0	1.0	1.0	1.0	
Housing Investment	YoY	-2.5	-1.9	-0.5	-4.0	-2.6	-2.8	5.4	0.2	-0.8	-0.6	-0.2	0.0	
Public Investment	YoY	-0.4	-0.2	1.0	-1.5	0.8	0.3	2.4	2.5	1.0	1.0	1.0	1.0	
Exports	YoY	2.9	0.1	1.2	-0.3	2.1	-0.2	2.2	2.2	0.8	1.7	1.3	1.4	
	SAAR				0.8	7.4	-2.4	3.3	0.8	1.4	1.4	1.4	1.4	
Imports	YoY	4.0	2.0	1.4	3.2	1.3	-0.3	5.2	4.4	3.4	2.1	-2.5	-1.3	
	SAAR				0.0	1.7	-2.0	22.8	-2.9	-2.3	-6.6	2.0	2.0	
CPI	YoY	3.2	2.0	1.4	2.7	1.4	1.7	2.1	2.2	2.8	1.0	1.1	0.8	
Core CPI	YoY	3.1	2.1	1.5	2.8	1.8	1.7	2.0	2.2	2.7	1.2	1.2	0.9	
Nominal GDP	YoY	4.5	2.7	2.1	3.8	3.6	2.2	2.6	2.3	2.5	2.3	2.1	1.7	
Current Account	¥ tn	30.7	34.7	35.9	29.9	39.1	33.9	33.0	33.0	32.4	35.1	38.6	37.5	
	% of GDP	4.6	5.1	5.2	4.4	5.8	5.0	4.8	4.8	4.7	5.1	5.5	5.4	
Unemployment Rate	%	2.5	2.6	2.5	2.6	2.7	2.6	2.6	2.5	2.5	2.5	2.5	2.5	
Industrial Production	YoY	1.4	1.6	2.4	1.6	1.2	1.5	1.8	2.0	2.2	2.4	2.4	2.4	
Corporate Profits (Fiscal Year)	YoY	1.2	0.7	1.0	0.4	0.3	0.3	1.1	1.2	1.0	1.0	1.0	1.1	
General Gov't Balance (Fiscal Year)	% of GDP				0.7	1.8	0.9	1.0	1.0	1.0	1.0	1.1	1.1	
General Gov't Debt	% of GDP	1.5	1.0	1.0	1.2	0.2	0.4	1.3	1.2	1.6	1.2	1.0	1.2	

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Note: Corporate profits are TSE-I consolidated recurring profits.

Source: Citi Research, CEIC Data Company Limited, Haver Analytics

Australia & New Zealand

Australia

Regardless of the health of negotiations between Iran and the US towards the Strait of Hormuz, Australia still has a domestic inflation problem. Economic growth is above productive potential, the labour market remains tight and households have yet to experience the full increase in downstream prices for essential goods from earlier increases in diesel prices through the transport logistics supply chain. When combined with the likelihood that wages growth will remain stronger from solid minimum and award wage increases, the RBA is still more likely to retain a hawkish policy bias than signal anything neutral, with even less likelihood that the next move in policy is down. We still prefer an August hike, given the real cash rate is barely above zero, but acknowledge the risk that the next increase could be delayed until November. By then, the RBA will likely be facing the prospect of a super El Nino weather event that could bring drought conditions and a negative supply shock to agricultural production. This would be the 3rd El Nino events Australia has suffered in the past 10 years.

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New Zealand

Should the nascent peace deal between the US and Iran hold, central banks like the RBNZ will be able to ratchet down concerns that the energy price shock will manifest as an upside threat to inflation expectations. Instead, it will more likely be seen as a temporary relative price shock. This means the MPC can re-focus to domestic influences on monetary policy. But this isn't a reason to relax. Solid Q1 GDP and upward revisions to three of the previous four quarters has eliminated the economy's negative output gap. The upward revisions suggest the economy has been more responsive to previous accommodative monetary policy and that expectations for a higher unemployment rate may need to be revised downwards by the RBNZ at the August MPS. This means the highly accommodative level of the OCR is no longer required, particularly if confidence and spending improve on the back of falling energy prices. With the RBNZ positioned for a neutral rate between 3.00% and 3.50%, the MPC needs to unwind excess accommodation. We expect the MPC to conduct two swift 25bp hikes on July 8 and September 2, lifting it to 2.75%.

Figure 34. Australia and New Zealand - Economics Forecasts

	Australia			New Zealand		
	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP, a	2.0	2.0	2.3	0.2	1.2	2.1
Real GDP (4Q versus 4Q)	2.6	1.6	2.4	1.1	2.4	2.4
Private Consumption	2.1	1.6	2.3	1.6	1.8	2.2
Govt. Current & Capital Spending, b	3.3	2.8	2.0	1.2	0.5	0.5
Housing Investment	6.0	4.5	5.2	-4.8	2.2	4.5
Business Investment, c	1.8	4.2	5.1	-2.0	0.0	2.0
Exports of Goods & Services	2.7	2.2	2.2	2.1	0.2	1.0
Imports of Goods & Services	0.0	3.9	3.8	0.7	0.0	1.2
CPI	0.0	4.6	2.9	2.8	3.7	2.8
CPI (4Q versus 4Q)	3.6	4.5	2.7	3.1	4.0	2.4
Unemployment	4.1	4.8	4.7	5.4	5.5	5.1
Merchandise Trade, BOP (Local Currency, bn)	44.8	32.0	26.0	-1.6	-5.4	-8.6
Current Account (Local Currency, bn)	-74.2	-89.0	-99.2	-9.7	-15.3	-17.3
Percent of GDP	-2.6	-2.9	-3.1	-2.2	-3.4	-3.7
Budget Balance (Local Currency, bn), d	-11.4	-29.9	-25.3	-16.1	-15.9	-11.7
Percent of GDP	-0.4	-1.0	-0.8	-3.6	-3.5	-2.5
General Govt. Debt (% of GDP), e	55.1	52.8	53.1	46.6	52.1	55.1

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Note: F Citigroup forecast. NA Not available. a, Averaged-based GDP in Australia and New Zealand. b, In New Zealand excludes capital spending. c, In New Zealand includes government capital spending. d, Fiscal year ending June. Australia's underlying cash balance. e, Australia and New Zealand Budget definition and forecasts.

Source: Citi Research, Haver Analytics

China

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AI supercycle vs. domestic stagflation is now the dominant force in [China's K-shaped economy](#), as mixed activities indicators for May revealed. AI supercycle powers production and trade. Industrial production rebounded to 4.5%YoY in May. >50% of the growth came from high-tech sectors, per our estimates, whose IP expanded at 15.1%YoY, a five-year high. Output of ICs, industrial robots, and NEVs all rose further, echoing [exports data](#). Investment growth picked up only for selected sectors, with double-digit growth in telecom manufacturing capex. Stagflation risks on the domestic side rise further. Retail sales contracted for the first time since Covid at -0.6%YoY, and monthly investment decline deepened to -10.7%YoY, per our estimate. Real growth both created new lows since Covid compounded with steady CPI and rising PPI. On prices, [PPI deflation](#) was more than an energy shock in May, and the supply constraint from crude loosened with recovering petrochemical related outputs.

Headline growth could remain steady despite the bifurcated structure. With IP at 4.5%YoY and service output index up 4.4%YoY, monthly proxy for GDP could hover around ~4.5%YoY, the lower end of this year's target. The sharpest slowdown is also likely behind us with a lower base starting to kick in from 26H2 and a [Middle East conflict resolution](#), despite little visibility for a pickup ahead. We maintain our growth forecast unchanged at 4.5%YoY for 26Q2E and 4.7%YoY for 2026E.

We see an acceleration of targeted support for domestic demand but not broad-based stimulus ahead. Targeted measures such as [the "Six Networks" initiative](#) are underway, enabling AI transition and stabilizing investment. Consumption and household income growth could be a key focus of the July Politburo meeting. Job market stress over the summer could prompt more targeted efforts, in our view. Having said that, steady headline GDP raises the bar for more significant policy adjustments: an outright lift of budget deficit or government bond quota is not our base case. Although monetary policy is not in the driver's seat, we still keep our call for a symbolic 10bps cut in 26H2E.

Figure 35. China – Economics Forecasts

		2025			2026					2027			
		2025	2026F	2027F	4Q	1QF	2QF	3QF	4QF	1QF	2QF	3QF	4QF
Real GDP	YoY	5.0	4.7	4.6	4.5	5.0	4.5	4.6	4.7	4.5	4.7	4.6	4.6
Final Domestic Demand	YoY	3.8	4.0	4.0									
Consumption	YoY	5.0	5.2	5.1									
Fixed Capital Formation	YoY	2.3	2.5	2.6									
Industrial Production	YoY	4.5	4.4	4.3	5.2	5.2	5.1	5.3	5.2	4.4	4.6	4.5	4.4
Exports	YoY	5.5	7.0	3.0	3.8	14.7	6.5	3.0	5.0	2.0	1.5	5.5	3.0
Imports	YoY	0.1	9.0	2.0	3.1	22.7	12.0	1.5	2.0	0.5	1.0	4.0	2.5
Merchandise Trade	\$bn	1,185	1,218	1,283	314	264	298	307	349	281	306	333	363
FX Reserves	\$bn	3,643	3,570	3,490	3,623	3,589	3,570	3,550	3,530	3,510	3,490	3,470	3,450
Current Account Balance	% of GDP	3.8	3.3	3.1									
General Government Balance	% of GDP	-4.0	-4.0	-3.8									
General Government Debt	% of GDP	107.2	108.2	109.2									
Urban Unemployment Rate	YoY	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1
CPI	YoY	0.1	1.0	1.2	0.6	0.8	1.2	1.1	1.1	1.0	0.9	1.4	1.5
Policy interest rate (end period)	%	1.40	1.30	1.20	1.40	1.40	1.40	1.30	1.30	1.20	1.20	1.20	1.20

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Note: General Govt. Debt includes the debt of central, local government and Ministry of Railway; since 2015, more general government debt methodology (including the LGFV) is adopted; We refer to 7d Reverse Repo Rate as Policy Rate.

Source: Citi Research, CEIC Data Company Limited, Haver Analytics

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BoP View — Our commodity strategists have revised down their Brent forecast for 2Q-4QFY27 to average \$70/bbl vs \$93/bbl earlier. We [revised our FY27 BoP surplus forecast](#) to \$45bn (vs \$5bn earlier). We expect around \$40bn surplus in 1HFY27 and \$5bn surplus in 2H, due to frontloading of capital flows in 1H. Key drivers – (1) Around \$31bn lower net oil import bill. (2) Revised our non-oil non-gold import bill lower by \$6bn and our remittances flow assumption upwards by \$3bn. There is further upside risk if Indian GSecs gets added to Bloomberg Barclays Global bond index.

Inflation view — Prices of other commodities like PetChem and fertilizers have also fallen sharply from their peak crisis levels; some are now even below Feb-26 levels. Given this fall in commodity prices, we anticipate some easing in WPI inflation. If the shock is seen as temporary, producers could refrain from passing WPI to core CPI inflation to protect market share. Our average FY27 headline inflation forecast is now 4.7%YY (down from 4.9%YY), suggesting a 40bps downside risk to RBI's inflation forecast (5.1%). We expect 2HFY27 average inflation to be around 5.2%YY, nearly 50bps below RBI's 5.7% forecast. We see FY27 core inflation at 4.5%YY

Growth view — Despite an upside surprise in the 4QFY26 real GDP print, we refrained from revising up our growth forecast due to uncertainty surrounding the US-Iran MoU deal. But now based on Citi's latest Brent view, we are revising our FY27 real GDP growth forecast upwards by 30bps to 6.9%YY. To recall, the RBI estimates that a 10% fall in Brent prices could increase growth by ~15bps.

Monetary policy view — If the Middle East truce holds, then RBI will not have to worry about at least one of the two shocks (energy and weather shock). This will offer the MPC some space to be patient and look through the El Nino driven weather shock. We see ~40bps downside risk to RBI's FY27 inflation forecast (5.1%). The RBI Governor has been maintaining that they will be looking for second round effects of the supply side shocks, which might be more muted now. With our current inflation forecast, we now expect RBI to keep repo rates on hold in FY27 (vs earlier view 2x25bps hike). We would consider bringing back RBI rate hike expectations if there is any breakdown in the Middle East truce or the El Nino shock destabilizes inflationary expectations.

Figure 36. India – Economic Forecasts

		2025/26F	2026/27F	2027/28F
Real GDP	YoY	7.7	6.9	6.9
Private Consumption	YoY	7.7	6.8	7.2
Fixed Capital Formation	YoY	8.2	7.6	6.9
Exports	YoY	6.3	4.9	5.8
Imports	YoY	5.6	6.4	5.7
Consumer Price Index	YoY	1.9	4.7	4.2
Current Account Balance	% of GDP	-0.6	-0.9	-0.4
Consolidated Government Balance	% of GDP	-7.6	-7.1	-7.1
Centre Fiscal Balance	% of GDP	-4.5	-4.4	-4.5

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Source: Citi Research, CEIC Data Company Limited, Haver Analytics

South Korea & Indonesia

South Korea

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With a lower crude oil price assumption, we recently raised our 2026E GDP by 0.1ppt to 3.1% while keeping our 2027E GDP at 2.8%. On inflation, we recently cut our 2026E CPI to 2.6% (vs. previous: 2.9%) while maintaining our 2027E CPI at 1.8%. KRW weakness and potential agricultural price inflation would remain as upside risks for supply-side inflationary pressure. However, we believe core CPI inflation will rise higher for longer due to the time-lag impact on core CPI goods inflation and strong demand-side inflationary pressure. We keep our 2026E core CPI at 2.6% while revising down our 2027E core CPI to 2.5% (vs. previous: 2.8%). On our estimates, YoY core CPI inflation will likely rise from 2.5%YoY~2.6%YoY in June'26-July'26 to around 3.0%YoY in August'26-April'27. For our base case, we maintain our view of a gradual BoK hiking cycle, with 25bps increases in each of July 2026, October 2026, January 2027, and April 2027, toward a 3.5% terminal rate. Amid a stabilization of crude oil prices, we see limited risks for a faster-than-expected tightening pace and a higher-than-expected terminal rate. In our view, BoK's rate-hike transmission mechanism channels could be partially constrained in 2H26-1H27 due to expansionary fiscal policy stance and negative household debt-to-ratio gap trend.

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Robust GDP growth momentum in 1Q26 seems challenging to sustain, in our view. Although inflation remains relatively anchored amid stable subsidized fuel prices, government budget cuts are underway to make way for fuel subsidies. Reduced policy predictability following a string of initiatives has also led to weaker FDI inflows and portfolio capital outflows which disrupted FX stability. Further BI rate hikes cannot be ruled out yet, but our base case is for the BI rate to have peaked. We expect FX pressure to subside into early 3Q as record-high SRBI rates help stabilize fixed income foreign flows. The dividend season likely has peaked and the decline in global oil prices should improve ID's terms of trade. Government bond supply risk is also receding amid apparent slow-down in the free-lunch program momentum and guidance that the fiscal deficit target will be lowered to 1.8 - 2.4% of GDP in 2027. That said, FX could be retested into 4Q. Restoring FDI inflows would be an uphill climb if policy predictability remains low. Perceptions on fiscal transparency could also worsen in our view if various expenditures (incl. non-revenue generating projects) are moved below-the-line onto SOE balance sheets.

Figure 37. Korea and Indonesia - Economic Forecasts

		South Korea			Indonesia		
		2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	1.1	3.1	2.8	5.1	5.2	4.9
Domestic Demand ex. Inventories	YoY	0.2	2.0	2.0	4.8	5.0	4.5
Private Consumption	YoY	1.5	2.1	2.0	5.0	4.6	3.9
Fixed Investment	YoY	-3.4	1.8	1.3	5.1	2.6	4.5
Exports	YoY	4.3	11.2	5.0	7.0	-1.3	7.0
Imports	YoY	3.3	9.2	3.7	4.8	-3.6	4.5
CPI	YoY	2.1	2.6	1.8	2.4	3.2	2.9
Unemployment Rate	YoY	2.8	2.9	3.0	4.9	4.1	4.3
Current Account	\$bn	123.1	280.7	312.4	-1.5	-12.8	-24.4
	% of GDP	6.5	13.2	13.6	-0.1	-0.9	-1.6
General Government Balance	% of GDP	-1.7	-1.7	-1.0	-2.9	-2.8	-2.4

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Source: Citi Research, CEIC Data Company Limited, Haver Analytics

Hong Kong, Singapore & Taiwan

Hong Kong

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HK macro recovery is broadening with modest inflationary pressures, but lower-end consumption remains under pressure. Financial vibrancy is notable beyond active IPOs, as recently endorsed by an [international survey](#) (BCG, 27 May) ranking HK as the world's largest cross-border wealth hub. HK seeks to expand more offshore yuan investment options. Looking ahead, investment should stay resilient, underpinned by stepped up public infrastructure spending and a more entrenched recovery in the residential property market. A [Citi Proprietary Survey on Home Purchase](#) indicates more optimism about home prices and preferences expanding for more popular districts. 1M & 3M HIBORs are repricing higher, despite still-low overnight rates, due to banks' quarter-end liquidity needs and anecdotal signs of rising credit needs by property developers.

Singapore

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We raise our 2026E GDP forecast to 4% (prev: 3.3%, 2027E: 2.2%), on stronger tech-dominated lift to 2Q26E GDP, while some headwinds from the Strait of Hormuz closure may turn to tailwinds in 2H26E, even as tech export momentum moderates somewhat. We lower our 2026E core inflation forecasts only slightly to 2% for 2026E (prev: 2.1%, 2027E: 1.9%), as lagged pass-through of import prices brings core to >2% in 2H26E. A larger-than-expected positive output gap, reduced downside growth risks, and sharp climb in 2H26E core amid accommodative real policy settings support our base case for MAS to steepen by 50bps to 1.5% pa in July. [Still, we see risk that steepening could be delayed or even derailed, on absence of inflation upside surprises, limited demand pressures, and job market softening.](#) May core CPI and MAS/MTI's inflation outlook (Jun 23rd) should be watched, as well as the 3Q26 electricity tariff hike at end Jun.

Taiwan

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Taiwan's growth outlook has been upgraded sharply to 9.9% for 2026, driven by exceptionally strong exports, which surged over 50% YoY in 1Q and remained robust into 2Q, making net exports the dominant growth driver. Export strength is broadening beyond tech into non-tech sectors like machinery and commodities, while traditional industries are benefiting from AI-related demand and industrial upgrading, reducing concerns of a K-shaped economy. Inflation remains contained at around 1.9% due to subsidies, though domestic demand and cost pressures could lift it above 2% in 2027. The central bank maintains a cautious, slightly tightening stance, prioritizing stability, with rates expected to be gradually tightening (3x12.5bps rate hikes in Dec26, Jun27 and Dec27).

Figure 38. Hong Kong, Singapore and Taiwan – Economic Forecasts

		Hong Kong			Singapore			Taiwan		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	3.5	4.6	4.0	5.0	4.0	2.2	8.7	9.9	6.0
Domestic Demand ex Inventory	YoY	2.1	4.4	3.4	4.3	3.8	2.8	4.1	4.1	4.1
Private Consumption	YoY	1.7	3.2	2.4	3.9	3.5	3.8	1.5	3.6	2.2
Fixed Investment	YoY	4.3	9.6	7.3	6.1	6.0	2.3	10.5	5.6	5.2
Exports	YoY	11.2	14.7	6.5	10.8	15.6	8.0	31.8	25.5	13.2
Imports	YoY	11.6	15.8	5.4	11.9	16.1	9.5	26.8	23.4	11.4
CPI	YoY	1.5	1.9	2.2	0.9	1.9	1.7	1.3	1.9	2.2
Unemployment Rate	YoY	3.7	3.6	3.1	2.1	2.1	2.0	3.3	3.3	3.3
Current Account	\$bn	52.3	66.4	64.3	110.2	110.6	121.1	181.1	220.0	244.8
	% of GDP	12.3	14.6	13.2	17.6	16.5	17.4	19.7	21.6	22.1
General Government Balance	% of GDP	-3.0	0.6	0.2	1.9	1.0	0.8	0.1	-0.1	-0.1

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Source: Citi Research, CEIC Data Company Limited, Haver Analytics

Czech Republic, Hungary & Poland

Czech Republic

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The Czech economy is expected to grow by 2.2% YoY in 2026, with GDP growth accelerating modestly to 2.5% in 2027 as the economy gradually moves closer to its potential and some of the current external uncertainties fade. Headline inflation is projected to average 2.2% this year and rise to 2.5% in 2027, temporarily exceeding 3% at the beginning of next year. Domestic inflationary pressures remain elevated, supported by robust wage growth, strong consumer demand, rapid credit expansion, continued house price growth, and persistent services inflation. In response to these factors, the CNB raised its policy rate by 25bp to 3.75% in June, in line with both Citi's forecast and market expectations. However, we do not view this move as the beginning of a new tightening cycle, but rather as a fine-tuning adjustment towards a somewhat more restrictive monetary policy stance.

Hungary

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The inflation outlook improved in the last couple of months, as headline CPI slipped below 2% in the first half of 2026 and is likely to remain below the 3% target in the remainder of the year. A benign inflation profile is likely to warrant rate cuts in the coming months and the pace of easing may be quicker than earlier expected. We think that rate-setters may lower rates at each meeting in Q3. Increase of EU funds flow in Hungary is set to be noticeable this year. We anticipate that Hungary should be able to regain access to RRF grants, cohesion funds, and SAFE loans. If this materializes, we estimate the total amount of EU funds flowing into Hungary in 2026 could increase by as much as 5.1% of GDP compared to 2025, comprising 3.2% of GDP in grants and 1.9% in loans. Should the government also meet the criteria for RRF loans, we estimate an additional 1.5% of GDP could be added.

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Poland

Although inflation is exceeding the 2.5% target, the upwards risks to the outlook seem to be contained as headline CPI may only temporarily breach 3.5% (the upper band of fluctuations around target) at the turn of 2026 and 2027. The Monetary Policy Council seems hesitant to rush to rate hikes and is actually pushing back against calls for tightening monetary policy. We expect rates to stay on hold this year, especially as rates in Poland are still positive in real terms. The energy price shock and weaker activity in the euro area suggest that Poland's 2026 economic growth might be slower than initially assumed. However, our estimates indicate it will remain around 3.5%, a relatively strong figure compared to regional and EU peers. This growth should be supported by resilient consumption and an expected improvement in investment activity, fueled by the inflow of EU funds.

Figure 39. Czech Republic, Hungary, Poland — Economic Forecasts

		Czech Republic			Hungary			Poland		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	2.6	2.2	2.5	0.5	2.1	3.4	3.6	3.5	2.9
Domestic Demand ex. Inventories	YoY	2.9	2.5	1.9	1.6	3.4	3.2	4.0	4.4	3.2
Private Consumption	YoY	3.0	2.7	2.8	3.1	4.4	2.7	3.7	2.9	3.5
Fixed Investment	YoY	2.4	3.8	3.2	-2.8	1.0	6.0	4.3	7.6	2.2
Exports	YoY	3.9	3.5	4.8	-1.1	-0.5	4.3	4.5	5.0	4.7
Imports	YoY	5.0	4.5	4.9	1.2	4.2	4.1	5.6	5.8	6.9
CPI	YoY	2.5	2.2	2.5	0.0	1.9	3.0	3.6	3.0	3.3
Unemployment Rate	%	3.0	2.8	2.6	4.4	4.3	4.1	5.7	5.8	5.7
Current Account	\$bn	2.8	-1.0	0.8	4.1	2.5	5.7	-8.9	-17.4	-22.2
Current Account	% of GDP	0.7	-0.2	0.2	1.6	0.9	2.0	-0.9	-1.5	-1.9
General Government Balance	% of GDP	-2.0	-2.7	-2.8	-4.7	-6.4	-4.9	-7.3	-6.9	-6.7

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Source: Citi Research, Haver Analytics

Turkey

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The CBT's decision at the June MPC meeting to hold the policy rate rather than align it with the average funding rate signals a wait-and-see stance, preserving flexibility in the near term. This posture, however, does not bode well for alleviating the dollarization risk, which tends to resurface whenever the domestic or global backdrop deteriorates due to Turkey's still-elevated inflation and the current monetary policy strategy. In this regard, our recent analysis suggests that the real test is not whether hard-asset demand disappears, but whether the premium on holding lira settles durably lower, as the carry normalizes. So far, in our view, it has not. The de-dollarization since May 2023 has been impressive, but the carry sustaining it—high though it is in real terms—depends on a disinflation that is far from secured. Nor does the exchange rate offer much reassurance; the subdued FX volatility is primarily driven by the pre-determined depreciation path under the CBT's current framework whose limitations are becoming harder to ignore. Carry and currency stability thus rest on the same foundation: a disinflation that has yet to gain traction. Until it does, we believe the turnaround is likely to remain vulnerable to reversal.

Figure 40. Turkey — Economic Forecasts

		Turkey		
		2025F	2026F	2027F
Real GDP	YoY	3.6	2.2	3.2
Domestic Demand ex. Inventories	YoY	-	-	-
Private Consumption	YoY	4.0	4.1	2.8
Fixed Investment	YoY	7.0	1.1	3.5
Exports	YoY	-0.3	-8.8	3.3
Imports	YoY	4.9	-3.4	1.6
CPI	YoY	34.9	30.9	24.1
Unemployment Rate	%	8.4	8.9	9.0
Current Account	% of GDP	-1.9	-3.1	-3.3
General Government Balance	% of GDP	-2.9	-4.2	-4.4

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Source: Citi Research, Haver Analytics

Nigeria, Saudi Arabia & South Africa

Nigeria

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Nigeria is one of the least impacted countries by the current conflict in the Middle East given it is an oil and gas exporter, and has both new refining capacity and a large fertilizer facility, both of which can meet domestic demand. However, inflation remains high and will only fall this year assuming there is a good harvest this year. At this point in time, we think inflation dynamics and the global macroeconomic backdrop will make the Central Bank of Nigeria (CBN) reluctant to cut the Monetary Policy Rate (MPR) at its July meeting. However, if, as we expect, inflation starts to decline in 2H 2026 then we would expect that the CBN to continue with a cautious reduction of the MPR towards the end of this year. With a high global oil price a broad positive for the Nigerian naira (NGN) we are now increasingly confident that we will see considerable exchange rate stability this year.

Saudi Arabia

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The Kingdom's GDP grew by 3.0%YoY in 1Q'26 following a 5.2%YoY expansion in 4Q'25. On the supply side, the 1Q GDP outturn was underpinned by matching 2.9%YoY gains in both oil and non-oil GDP. On the demand side, government spending, private consumption, private GFCF, public GFCF and NX contributed 2.1pp, 2.3pp, 0.02pp, 1.0pp and 1.8pp, respectively, while inventories shaved 4.3pp off GDP growth. In seasonally adjusted sequential terms, GDP contracted 1.2%QoQ in 1Q on the back of a 6.8%QoQ decline in oil activity, while non-hydrocarbon activity softened to 0.3%QoQ from 1.5%QoQ in 4Q'25. Developments to date suggest to us that the Saudi economy is likely to expand 1.7% this year after growing 4.6% in 2025. We expect oil GDP to shrink 1.6% this year owing to supply disruptions associated with the conflict. Non-oil activity is forecast to slow to 2.6% this year from 5.1% in 2025, reflecting the adverse impact of the regional tensions on conflict-sensitive service sectors.

South Africa

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Some stability in the Middle East crisis allows us to upgrade our GDP growth forecast slightly to 1.3%. We still see CPI peaking at 4.9% in Q4 26, but have pared down some near-term and longer-term quarters on the back of less pass-through from oil prices despite looking concerns about El Nino. This means that despite some settling in the Middle East, we still see the South African Reserve Bank hiking further, by 25bp rate hikes in July. Fiscal policy is holding up well with rating agencies moving to positive outlook and upgrades. All eyes will be on the November local elections later this year.

Figure 41. Egypt, Nigeria, Saudi Arabia & South Africa — Economic Forecasts

		Egypt			Nigeria			Saudi Arabia			South Africa		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	5.1	5.0	6.1	4.3	4.6	5.2	4.6	1.7	6.2	1.1	1.3	1.6
Domestic Demand ex Inventory	YoY	3.3	4.6	5.4	-	-	-	-	-	-	2.0	1.7	1.4
Private Consumption	YoY	0.7	4.1	5.2	-	-	-	-	-	-	3.6	1.9	1.4
Fixed Investment	YoY	21.7	8.5	7.8	-	-	-	-	-	-	-2.2	0.8	2.2
Exports	YoY	10.6	5.3	6.4	-	-	-	-	-	-	-2.5	0.1	2.0
Imports	YoY	1.7	3.3	2.9	-	-	-	-	-	-	1.1	1.2	2.3
CPI	YoY	14.1	15.0	8.3	23.0	15.2	11.9	2.0	2.1	2.4	3.2	4.2	4.7
Unemployment Rate	%	6.9	7.2	7.0	-	-	-	-	-	-	32.4	32.0	32.0
Current Account	\$bn	-13.9	-16.1	-14.8	14.0	16.6	10.2	-32.7	-26.6	-53.2	-	-1.2	-2.3
Current Account	% of GDP	-3.4	-3.4	-2.8	4.5	4.0	2.2	-2.6	-1.9	-3.6	-	-0.3	-0.5
General Government Balance	% of GDP	-6.1	-5.5	-4.6	-2.9	-2.9	-2.8	-5.8	-6.3	-5.1	-4.5	-4.5	-4.4

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Source: Citi Research, Haver Analytics

Brazil & Mexico

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The Copom indicated [discomfort with further interest rate cuts](#). Consequently, the Selic rate is now expected to stabilize at 14.25%, with rate cuts potentially resuming in 2H27, reaching 12.5% by 2027-end, contingent on some fiscal strengthening going forward. We increase our CPI inflation forecasts to 4.8% for 2026YE and to 4.0% for 2027YE. This revision is attributed to persistent high [underlying services inflation](#), de-anchored inflation expectations, and a tight output gap leading to continued nominal wage growth. Economic activity remains resilient with robust [1Q26 GDP growth](#) (1.1% QoQ from 0.3% QoQ) temporarily boosted by the agriculture/livestock sector (2.0% QoQ) and industry (1.0% QoQ). Looking ahead, we see a gradual economic slowdown with GDP growth hovering around its potential (1.8%). Fiscal risks have increased amid [political uncertainty](#) and expanding government measures, expected to push gross debt to 83.4% of GDP in 2026 and 87.8% in 2027. On external accounts, [higher oil prices are boosting exports](#) supporting our expectations of robust trade surplus (3.0% of GDP), narrowing the [current account deficit to 2.2% of GDP](#) by 26YE. The BRL remains resilient for now, though expected to weaken toward 5.3 per USD by end-2026 as fiscal concerns and softer oil prices emerge.

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Mexico's economy is showing tentative signs of recovery in 2Q26, but the [rebound remains fragile](#). Industrial production posted a strong monthly gain in April, supporting our full-year GDP growth forecast of 1.1%, yet demand-side indicators paint a more cautious picture, while positive spillover from the World Cup could have fallen short of expectations. On trade, two USMCA negotiation rounds have concluded with a third expected in late July, confirming a delay past the July 1 legal deadline. The US has signaled that tariffs on autos and steel will persist, and President Trump's suggestion that the US is "not looking to renew" USMCA raises the risk that negotiations extend into 2027, continuing to suppress investment. Inflation is broadly stable with an easing bias due to non-core CPI although [El Niño poses upside risk to inflation](#) ahead. Still, we expect Banxico to keep the policy rate at 6.50% through year-end, with activity weakness and a resilient peso acting as disinflationary anchors. [Fiscally, pressures persist](#) from oil revenue drag, state oil company support, and social spending, keeping our deficit forecast at 4.4% of

GDP above the Ministry of Finance's 4.1% target. Politically, US indictments of ruling-party governors and deteriorating public security perceptions [complicate President Sheinbaum's position](#) ahead of the 2027 midterms.

Figure 42. Brazil and Mexico — Economic Forecasts

		Brazil			Mexico		
		2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	2.3	1.8	1.8	0.5	1.1	2.0
Domestic Demand ex. Inventories	YoY	1.7	1.5	1.5	-0.6	1.1	2.1
Private Consumption	YoY	1.3	1.7	1.7	1.0	1.7	2.0
Fixed Investment	YoY	2.9	0.7	1.3	-6.3	-1.7	2.6
Exports	YoY	6.2	4.7	3.9	6.9	2.7	4.0
Imports	YoY	4.5	1.9	2.0	3.7	10.4	4.7
CPI (Avg)	YoY	5.0	4.6	4.1	3.8	4.2	3.7
Unemployment Rate	YoY	5.9	5.8	5.8	2.6	2.7	2.8
Current Account	\$bn	-66.7	-58.8	-60.1	-8.8	-21.0	-21.2
	% of GDP	-2.9	-2.2	-2.2	-0.5	-1.0	-1.0
General Government Balance	% of GDP	-8.3	-8.9	-8.4	-4.3	-4.4	-3.7

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Source: Citi Research

Argentina, Chile & Colombia

Argentina

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Argentina's economy presents a mixed outlook. GDP is growing, leveraged on non-labor-intensive segments such as mining and energy, while industrial activity remains weak, with a 2.8%YoY fall in April 2026 impacting 12 of 16 sectors. Conversely, inflation slowed to 2.1%MoM in May, though the YoY rate accelerated to 33.2%. The fiscal position remains strong, recording a financial surplus of 0.04% of GDP in May and a YTD surplus of 0.2% of GDP, despite decreased tax revenue and primary expenditure. The Central Bank has surpassed its USD 10 billion-dollar acquisition target, reaching USD 11 billion YTD; however, net reserves did not grow proportionally due to debt service payments and the government's decision not to yet access global capital markets. This, alongside sustained fiscal austerity, prompted S&P to upgrade Argentina's sovereign debt rating from CCC+ to B- and has improved the government's access to voluntary financing in capital markets. Nevertheless, political turmoil and judicial investigations into high-ranking officials continue to erode public confidence. On a positive note, the World Bank approved a USD 2 billion guarantee, with the IDB expected to contribute an additional USD 550 million, to help Argentina refinance dollar-denominated debt and regain international capital market access at lower costs. This multilateral support, combined with ongoing reserve accumulation, boosts optimism for managing over USD 25 billion in debt maturities due in 2027.

Chile

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The macro-outlook is shifting toward weaker growth under tightening fiscal constraints, with monetary policy increasingly reactive and credibility becoming the primary anchor for markets. The growth shock in 1Q26 has not yet been offset by incoming data, while inflation remains above target with persistent core components limiting the pace of convergence. This combination places the central bank in a prolonged hold, as neither disinflation nor activity provides a clear directional signal. At the same time, fiscal dynamics are emerging as the binding constraint, with a softer consolidation path and rising legislative friction increasing execution risk. The interaction between weak activity and fiscal slippage is

beginning to shape market pricing more directly, particularly in local rates and credit. What matters next is whether Senate approval of tax reform can stabilize fiscal expectations, as failure would reinforce a gradual erosion in credibility and push the adjustment burden further into 2027.

Colombia

We expect tighter monetary policy under persistent inflation and widening fiscal constraints, with political transition reducing uncertainty but not relaxing the adjustment burden. Growth remains consumption-led while investment stays constrained, limiting expansion durability. Inflation persistence, reinforced by wages and emerging El Niño risks, keeps expectations elevated and anchors a renewed tightening cycle, with policy now less constrained post-election. Fiscal dynamics are becoming the binding constraint, as higher borrowing costs and weaker revenue performance push consolidation requirements onto the incoming administration. The transition to De la Espriella provides short-term clarity but does not ease the need for a credible fiscal strategy. What matters next is the speed of cabinet formation and early policy signaling in July, as well as whether the new administration can anchor consolidation expectations, which will determine if recent improvements in confidence can hold or give way to renewed pressure in FX and rates.

Figure 43. Chile and Colombia — Economic Forecasts

		Argentina			Chile			Colombia		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	4.0	2.9	3.1	2.5	1.7	2.3	2.6	2.5	2.4
Domestic Demand ex Inventory	YoY	-	-	-	3.7	2.7	2.7	3.8	2.8	2.6
Private Consumption	YoY	-	-	-	2.7	2.7	2.2	3.5	2.8	2.7
Fixed Investment	YoY	-	-	-	7.0	2.6	3.3	1.4	2.3	3.0
Exports	YoY	-	-	-	4.6	1.6	3.3	1.9	3.2	3.0
Imports	YoY	-	-	-	10.5	4.1	3.5	8.6	4.1	3.4
CPI (Avg)	YoY	41.9	30.5	27.0	4.2	3.6	3.2	5.1	5.8	4.9
Unemployment Rate	YoY	-	-	-	8.6	8.6	8.5	8.5	8.8	9.7
Current Account	\$bn	-9.6	-4.0	-5.3	-8.9	-7.8	-9.3	-11.0	-12.8	-13.8
	% of GDP	-1.4	-0.5	-0.7	-2.5	-1.9	-2.2	-2.4	-2.4	-2.4
General Government Balance	% of GDP	0.2	0.1	0.1	-2.0	-1.7	-1.5	-6.2	-6.4	-4.5

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Source: Citi Research, National Sources

Multi-Asset Views

Global Equity Strategy

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■ Despite a recent wobble, equities remain close to all-time highs. The interim US-Iran peace agreement [could propel](#) some market broadening as positioning readjusts, and fundamental headwinds abate. However, the AI theme is likely to remain a key structural driver for equities, backed by fundamental strength/momentum, even as volatility around the AI thematic remains elevated. In the end, we remain constructive on global equities, while acknowledging that risks are building.

■ **Key Theme—Exuberance Building:** We recently revisited our Bear Market Checklist (BMC), which helps gauge underlying market risks and whether dips should be bought or avoided. The BMC is now at its frothiest level since the GFC, with flags rising steadily. Several factors are contributing to the recent rise in BMC flags, including elevated capex growth and a rise in equity issuance. However, the BMC does not yet signal “overexuberance”, remaining below levels seen ahead of past bear markets.

■ **Fundamentals:** Bottom-up consensus sees +26% global EPS growth in 26E. The MSCI AC World has is now trading on a 12m fwd PE of c18x (c85th percentile vs. 25Y history).

■ **Sentiment & Positioning:** Equity market [positioning](#) has shifted meaningfully since the beginning of the conflict in Iran. Investors are meaningfully net long on Korea and the Nasdaq, while holding net short positions on Australia and the Hang Seng. [Citi’s Levkovich Index](#), a gauge of US market sentiment is in “Euphoria”.

■ **Global Recommendations:** For now, our price targets still see upside to year-end across major, boosted by solid EPS growth. We remain Overweight on the US market and global Tech in our equity allocation. Other preferred global sectors include Materials and Health Care.

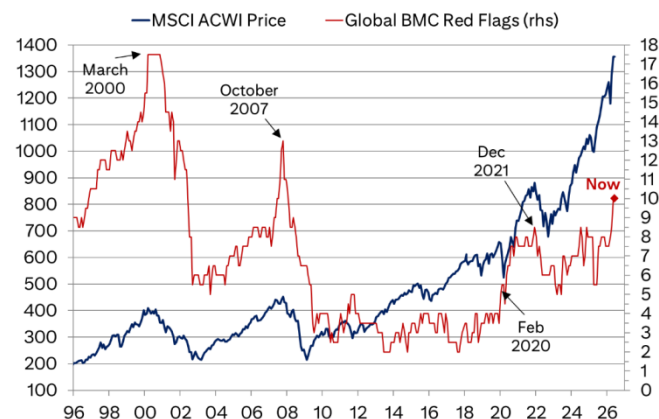
Figure 44. Global Recommendations

Overweight	Neutral	Underweight
Regions		
UK	Europe ex-UK	Japan
US	EM	Australia
Sectors		
IT	Real Estate	Cons Staples
Health Care	Industrials	Comm Svc
Materials	Energy	
	Utilities	
	Cons Discr	
	Financials	

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Source: Citi Research

Figure 45. Global BMC Number of Red Flags And MSCI AC World Index



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Source: Citi Research, FactSet, MSCI, DataStream, Dealogic, Lipper

Developed Markets Rates Strategy

US Rates

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Front-end yields moved higher last week on the back of a hawkish FOMC dot plot where nine members saw at least one rate hike by year-end 2026. Further, some FOMC members expected some easing in 2027, presumably as inflation falls over time. We think the front-end of the curve could be at risk of a continued selloff until the market sees evidence of core inflation normalizing, which may take some time (see [US Rates Strategy - Widening the aperture](#)). In our view, the long end of the Treasury curve should generally remain supported as the market is pricing in a possible policy mistake, and we still see 10y yields moving lower into year-end. Our thesis is: 1) core inflation will trend lower by Q4 without experiencing much spillover from the Iran conflict, which may now be nearing resolution; 2) seasonal weakness in jobs data should move the unemployment rate higher throughout the summer; 3) USTs typically have a bullish tailwind in the summer months; 4) the market is wrong to price in ~50bp of rate hikes over the next year; and 5) while jobs data is strong, there is little evidence the low level of wage gains will spill over into services inflation. We continue to favor carry trades in the near term and in the medium term we think the belly of the 2s5s10s fly can outperform.

Core Europe and EGB spreads

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Our forecasts for € rates are essentially unchanged this month, other than a few tweaks. That's despite the retreat in oil prices and the US-Iran MoU that extends the ceasefire for 60 days. The ECB delivered the 25bp hike in June, and a second hike may yet follow given pipeline pressures for € inflation. For sure, the ECB is highly unlikely to reverse the hike anytime soon given the broadening of inflation and with the duration of the supply shock extending with oil prices still above pre-conflict levels and geopolitical uncertainty likely to linger. Moreover, the bar is probably low for a second hike given the resilience of growth and with up to 2.5% likely seen as a neutral policy setting. The house view assumes a second hike in 3Q26. Either way, we suspect the market will find it hard to take out much more hike premium. With that in mind, we doubt there will be much bullish follow through in € duration. Even if one-and-done becomes base case, and hike premium softens, that probably only gets 10yr Bunds to 2.85% or so. For now, we find it more likely that 3% Bunds is a magnet level for H2. The MoU negates bearish risk by reducing the chance of more than two hikes. Indeed, the main impact of the deal on € rates might be to reduce tails, dampen volatility and encourage carry strategies. Turning to EMU spreads, we find near limits to tightening potential in the near-term, not least with the ECB likely to continue to lean hawkish. This is already reflected in the inability of EMU spreads to follow equities to pre-conflict levels. Seasonality also points to widening to the end of August. Lastly, OATs face a relatively high net supply profile over June–August. Collectively, these create headwinds and skew the risk towards widening, but domestic catalysts for such may be lacking until later in the year.

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UK

The second half is likely to be an interesting one for gilts. On the bullish side, the MoU and fall in oil prices likely keeps a lid on front-end yields by allowing the BoE to stay on hold. That certainly seems to be the preference of the majority for the MPC. Hawkish dissent did grow in June to 7-2 from 8-1 but the argument for pre-emptive tightening is weaker with the MoU and dovish domestic data. Rather, the MPC is likely content to hold, judging that market tightening is feeding through quickly and helping to dampen inflation. This effective tightening is likely persistent with the market unlikely to revert to rate cut pricing any time soon with oil prices still higher than pre-conflict. That limits the ability of gilts to rally by much in H2 in our view. Indeed, our economics team has pushed back the timing of the next rate cut slightly to 2Q27 from 1Q27 previously. On the bearish side, there is political and fiscal uncertainty with Andy Burnham winning the by-election. There are many permutations to how the political process might play out, which likely keeps gilts relatively volatile in the near-term. Fiscal clarity is only likely to emerge at the autumn Budget. While Burnham has pledged to stick to the fiscal rules, this does not preclude higher borrowing via the investment rule. Indeed, it is hard to imagine that a Burnham premiership, that is championing change, won't look to borrow. Overall, we adjust our yield forecasts lower for the near quarters but continue to pencil in 5% for 10s at year-end with a steepening bias driven by the combination of no hikes, with the next move likely a distant cut, and fiscal risk premium building in longer tenors. However, we have moderated our year-end target for 2s10s steepening from 100bp to 75bp.

Japan

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The BoJ raised its policy rate to 1.00%, and we maintain our outlook for a terminal rate of 1.50%, with the next hike expected in December 2026, though the path beyond that is increasingly uncertain as Policy Board member Toichiro Asada dissented against the June hike — signaling growing dovishness — and further tightening in the second half of 2027 is expected to be difficult. We assign only a 25% probability to a hike occurring before December. The risk for an earlier hike mainly comes from the US as robust economic figures during summer may pressure on the BoJ via yen weakness. On the balance sheet front, the BoJ will continue reducing monthly JGB purchases toward around ¥2trn per month from April 2027. While annual losses from negative carry on JGB holdings could approach ¥4.5trn, the BoJ is considered well-prepared through its loss reserves. Additionally, the Securities Lending Facility minimum lending fee will rise from 25bp to 50bp effective July 16, 2026, increasing the cost of holding short JGB positions and proving positive for ASW longs, particularly in the 3y–6y sector.

On the fiscal front, risk has risen as public-private investment under Japan's new growth strategy through fiscal 2040 could total ¥370trn. The government spending potentially increasing by ¥10–¥30 trillion next fiscal year even excluding consumption tax cuts, in our view, representing a bearish risk for JGB duration that could materialize earlier than the previously anticipated October–December window.

Commodities

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- For latest commodities views please refer to our [3Q'26 Commodity Outlook - US/Iran MoU implications: sell summer oil rallies, moderately bullish metals, buy chocolate](#).
- The major geopolitical unknown was whether the US and Iran could find a path towards Strait of Hormuz trade flows restarting, and this question appears answered, with Iran and US confirming an MoU on June 15 and signing the MoU on June 17. On June 15 we shifted our forecasts for Brent oil down towards our [prior bear case scenario](#), with new quarterly price forecasts of 3Q26/4Q26/2027 at \$75/\$70/\$65/bbl, respectively (down from \$110/90/80/bbl). In our view, the market is pricing the MoU itself, but not an agreement that secures SoH flows over the medium term; otherwise, crude oil prices would likely be ~\$10–15/bbl lower than they are today, which therein provides the downside to prices over the next 6–12 months. Limited appetite for renewed conflict from the US, and Iran signalling their willingness to deal on the MoU terms, point to selling summer oil rallies. Our base case is that eventually negotiations lead to [sustained SoH flows at largely normalized rates](#), returning focus to weak underlying oil market fundamentals, including an (on paper) ~4mb/d surplus by 2027, giving room for stock builds globally, likely at prices sub-\$70/bbl.
- On June 15 we also upgraded on our 0–3 m pt price target for gold to \$4,500/oz and for silver to \$70/oz (from \$4,000/t and \$60/oz, respectively), as risk sentiment is likely to turn higher more broadly on our prediction of this MoU being rolled forward or into a deal, and Strait of Hormuz flows normalizing and being maintained at normal levels during 3Q'26. We had been concerned about a [gold and silver sell-off near-term](#) owing to the ongoing conflict and its implications for oil prices and investors' ability and willingness to continue buying gold at a record historical pace. We remain bullish on gold on a 6–12m view at \$5,000/oz on robust non-cyclical gold demand from lingering sovereign debt and debasement concerns, sustaining central bank reserve diversification trend, and increasing geopolitical fragmentation, though it is vulnerable to substantial volatility, and a resumption of the war or equity market correction is a major risk to the bullish base case, if only temporary.
- We turn broadly bullish on industrial metals on underlying structural tailwinds given growth risks have largely dissipated following the Strait of Hormuz reopening deal. We think global growth from cyclical sectors will remain sluggish this year given sustained and relatively elevated Fed rates, before picking up modestly in 2027. However, we assume that AI and energy transition sentiment and demand growth remain resilient, with growth in China metals consumption in 2026 underpinned by resilience in goods exports and continued policy focus on metal-intensive sectors like renewable power generation, storage, distribution, and use (EVs & datacenters) to help cushion domestic demand weakness elsewhere. We also see energy transition demand accelerating ex-China. We are bullish on [aluminium](#) (to \$4,000/t) amid a real ~2Mt primary deficit this year. We see rallies higher in [copper](#) (to \$15k/t within 12 months), [lithium](#) (to \$35 k/t near-term), and tin (to \$60k/t) on structural demand tailwinds and supply constraints.

Figure 46. Citi Research commodity price forecasts*

			Price Targets								Annual Forecasts			LT Price
		Spot*	0-3M	%chg vs spot	6-12M	%chg vs spot	Q1 2026	Q2 2026E	Q3 2026E	Q4 2026E	2025	2026E	2027E	\$2025
Energy														
ICE Brent	USD/bbl	77	75	-3%	70	-9%	78	99	75	70	68	81	65	70
NYMEX WTI	USD/bbl	74	71	-4%	66	-11%	73	94	71	66	65	76	61	67
Henry Hub Natural Gas	USD/MMBtu	31	2.8	-11%	2.5	-21%	3.5	2.8	31	3.3	3.6	3.2	2.8	3.9
JKM LNG	USD/MMBtu	15.8	13.0	-18%	10.0	-37%	132	17.6	142	12.8	12.4	14.5	9.5	6.0
TTF Natural Gas	USD/MMBtu	14.3	12.0	-16%	9.5	-33%	137	15.5	12.8	12.0	120	13.5	9.2	5.0
EUA Carbon	EUR/t	79	85.0	7%	90.0	13%	N/A	N/A	N/A	N/A	N/A	78	90	N/A
Precious Metals														
Gold	USD/t. oz	4243	4500	6%	5000	18%	4,865	4,550	4,500	4,750	3,443	4,665	5,000	3,600
Silver	USD/t. oz	66.8	75.0	12%	90.0	35%	83.7	75.0	75.0	80.0	40.1	78.4	85.0	35.0
Platinum	USD/t. oz	1725	1950	13%	2100	22%	2,220	1,950	2,000	2,050	1,286	2,055	2,100	1,800
Palladium	USD/t. oz	1295	1500	16%	1600	24%	1,704	1,430	1,400	1,500	1,154	1,510	1,575	1,400
Industrial and Other Metals														
LME Copper	USD/MT	13801	14500	5%	15000	9%	12,818	13,500	14,000	14,500	9,960	13,700	14,250	11,000
LME Aluminum	USD/MT	3421	4000	17%	4000	17%	3,195	3,590	4,000	4,000	2,628	3,700	3,800	3,000
LME Lead	USD/MT	1957	2000	2%	2000	2%	1,930	1,960	2,000	2,000	1,959	1,970	2,000	2,000
LME Zinc	USD/MT	3584	3600	0%	3300	-8%	3,235	3,500	3,600	3,500	2,878	3,450	3,300	2,700
LME Nickel	USD/MT	17913	17000	-5%	17000	-5%	17,325	18,200	17,000	17,000	15,179	17,400	17,000	17,000
CME Lithium Hydroxide	USD/MT	20680	28000	35%	18000	-13%	18,200	21,000	25,000	25,000	9,400	22,300	19,750	20,000
Uranium	USD/lb	86	100	17%	110	29%	86	86	100	100	73	93	131	63
Bulk Commodities														
Iron Ore (TSI)	USD/MT	101	100	-1%	90	-11%	104	106	100	100	102	102	93	85
Thermal Coal (Newc 6K)	USD/MT	144	125	-13%	115	-20%	120	138	125	130	107	128	120	100
Coking Coal (Aus PHCC)	USD/MT	243	220	-9%	220	-9%	235	238	220	230	188	231	225	200
Agriculture														
CBOT Corn	USD/bu	417	500	20%	550	32%	460	475	500	500	450	464	544	N/A
CBOT Soybeans	USD/bu	1125	1250	11%	1300	16%	1125	1200	1250	1250	1,052	1,213	1,275	N/A
CBOT Wheat	USD/bu	608	700	15%	750	23%	550	650	700	700	531	650	738	N/A
ICE Sugar	USD/lb	13.6	17.0	25%	19.0	39%	14.7	17.0	17.0	19.0	17.1	16.9	18.0	N/A
ICE Coffee	USD/lb	283	225	-20%	200	-29%	317	283	250	225	371	269	206	N/A
ICE Cocoa	USD/MT	4020	5000	24%	6000	49%	4500	4000	4500	5000	8,182	4,500	6,000	N/A

*Spot as of 06/18/2026

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*As of Jun 19, 2026, subject to revision. Please visit [this site](#) for our latest commodities forecasts

Source: Citi Research

Global Foreign Exchange Outlook

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We lower our 0-3m EURUSD forecast to 1.13 to reflect USD-positive asymmetry around upcoming data and Fed pricing, as well as potential for momentum chasing on the bullish DXY break. In such a scenario, EURUSD could overshoot our near-term forecast towards 1.10. However, we think it will be difficult for USD gains to sustain unless the Fed delivers on hikes or the ECB pivots towards cuts – neither is a base case for now. Therefore, we keep our 6-12m EURUSD forecast unchanged at 1.14, as USD may marginally correct lower if Fed hikes need to be priced out. More broadly, the low vol environment may persist through the summer, especially with US equity earnings around the corner. This makes re-entry into EMFX carry expressions attractive, in our view, but preferably funded in EUR and CHF.

Figure 47. Global Foreign Exchange Forecasts

		Market data*			Forecasts			Returns***		WERM 2026Q2
		spot	3m Fwd	12m Fwd	0-3 mos	6-12 mos	long-term	3 mos rtn	12 mos rtn	
G10										
Euro	EURUSD	1.135	1.140	1.153	1.13	1.14	1.13	-0.8%	-1.2%	1.09
Japanese yen	USDJPY	162	161	157	162	153	138	0.6%	-2.5%	102
British Pound	GBPUSD	1.32	1.32	1.32	1.31	1.31	1.30	-0.8%	-0.5%	1.34
Swiss Franc	USDCHF	0.81	0.80	0.78	0.82	0.81	0.84	2.4%	3.6%	0.90
Australian Dollar	AUDUSD	0.69	0.69	0.69	0.69	0.70	0.70	-0.3%	2.1%	0.73
New Zealand Dollar	NZDUSD	0.56	0.57	0.57	0.56	0.57	0.63	-0.7%	0.6%	0.59
Canadian Dollar	USDCAD	1.42	1.42	1.40	1.43	1.42	1.39	1.1%	1.4%	1.20
Dollar Index**	DXY	101.61	101.19	99.88	102.11	100.59	99.57	0.9%	0.7%	95.38
G10 Crosses										
Japanese yen	EURJPY	184	183	181	182	174	156	-0.2%	-3.6%	112
Swiss Franc	EURCHF	0.92	0.92	0.90	0.93	0.92	0.95	1.5%	2.4%	0.98
British Pound	EURGBP	0.86	0.87	0.88	0.87	0.87	0.87	-0.1%	-0.7%	0.81
Swedish Krona	EURSEK	11.08	11.07	11.03	11.14	11.08	10.50	0.6%	0.4%	8.77
Norwegian Krone	EURNOK	11.19	11.25	11.43	11.25	11.19	11.54	0.0%	-2.1%	7.78
Norwegian Krone	NOKSEK	0.99	0.98	0.97	0.99	0.99	0.91	0.6%	2.6%	1.13
Australian Dollar	AUDNZD	1.22	1.22	1.20	1.22	1.22	1.12	0.4%	1.5%	1.24
Australian Dollar	AUDJPY	112	110	108	111	107	97	0.3%	-0.5%	75
Asia										
Chinese Renminbi	USDCNY	6.81	6.77	6.64	6.80	6.70	6.90	0.4%	0.9%	6.47
Hong Kong Dollar	USDHKD	7.84	7.82	7.77	7.80	7.78	7.80	-0.2%	0.1%	7.04
Indonesian Rupiah	USDIDR	17943	18117	18492	17700	17800	16000	-2.3%	-3.7%	14272
Indian Rupee	USDINR	94.7	95.1	97.2	93.0	95.0	96.5	-2.2%	-2.2%	83.8
Korean Won	USDKRW	1543	1541	1531	1500	1470	1400	-2.7%	-4.0%	1238
Malaysian Ringgit	USDMYR	4.14	4.13	4.09	4.05	3.95	4.30	-1.9%	-3.4%	3.68
Philippine Peso	USDPHP	61.5	61.6	62.4	62.0	63.0	55.0	0.7%	1.0%	66.8
Singapore Dollar	USDSGD	1.30	1.29	1.26	1.28	1.27	1.30	-0.7%	0.5%	1.34
Thai Baht	USDTHB	33.4	33.4	32.9	33.0	33.3	34.0	-1.2%	1.1%	34.9
Taiwan Dollar	USDTWD	31.8	31.9	32.1	31.8	31.0	31.0	-0.6%	-3.6%	n/a
Vietnam Dong	USDVND	26329	26699	27410	26600	27000	27300	-0.4%	-1.5%	n/a
EMEA										
Czech Koruna	EURCZK	24.3	24.3	24.5	24.2	24.3	24.1	-0.5%	-1.0%	29.7
Hungarian Forint	EURHUF	356	359	364	355	350	350	-1.1%	-3.9%	417
Polish Zloty	EURPLN	4.29	4.31	4.36	4.26	4.25	4.28	-1.2%	-2.5%	4.72
Israeli Shekel	USDILS	2.99	2.98	2.95	2.90	2.90	2.80	-2.8%	-1.7%	4.42
Turkish Lira	USDTRY	46.50	50.21	63.86	47.50	54.50	65.00	-5.4%	-14.7%	46.94
South African Rand	USDZAR	16.59	16.72	17.07	16.45	16.15	15.50	-1.6%	-5.4%	11.07
LATAM										
Brazilian Real	USDBRL	5.21	5.32	5.66	5.15	5.40	5.45	-3.3%	-4.5%	5.35
Chilean Peso	USDCLP	920	920	919	915	880	925	-0.6%	-4.2%	777
Mexican Peso	USDMXN	17.6	17.8	18.2	17.43	17.40	19.50	-1.9%	-4.2%	18.60
Colombian Peso	USDCOP	3423	3502	3736	3425	3580	3850	-2.2%	-4.2%	2860

* market data including spot as of 11:45 AM NY time on 24-Jun-2026

** The DXY forecasts are implied from the forecasts of the constituent crosses. *** Returns are relative to forwards

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Source: Citi Research

Figure 48. Citi Global Economics Team (For Informational Purposes Only)

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Appendix A-1

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